



Country Partnership Strategy Final Review

October 2023

Bhutan
(2019–2023)

Asian Development Bank

ABBREVIATIONS

ADB	-	Asian Development Bank
ADF	-	Asian Development Fund
ALCS	-	Alay Land Custom Station
BHRM	-	Bhutan Resident Mission
BHTF	-	Bhutan Health Trust Fund
BIMSTEC	-	Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation Initiatives
CARES	-	COVID-19 Active Response and Expenditure Support
COL	-	concessional ordinary capital resources lending
COVID-19	-	coronavirus disease 2019
CPS	-	country partnership strategy
CPSFR	-	country partnership strategy final review
CSI	-	cottage and small industry
DPR	-	detailed project report
EIRR	-	economic internal rate of return
FY	-	fiscal year
FMDP	-	Financial Market Development Program
GAP	-	gender action plans
GDP	-	gross domestic product
GRAHSP	-	Green and Resilient Affordable Housing Sector Project
HSDP	-	Health Sector Development Program
IED	-	Independent Evaluation Department
JICA	-	Japan International Cooperation Agency
km	-	kilometer
LDC	-	least developed country
MOF	-	Ministry of Finance
NKRA	-	national key results area
NHDCL	-	National Housing Development Corporation Limited
O&M	-	operation and maintenance
OMDP	-	Office of Markets Development and Public-Private Partnership
PCR	-	project completion report
PSOD	-	Private Sector Operations Department
PRF	-	project readiness facilities
PTDP	-	Phuentsholing Township Development Project
PVR	-	project completion report validation report
RCI	-	regional cooperation and integration
RAA	-	Royal Audit Authority
RMA	-	Royal Monetary Authority
SASEC	-	South Asia Subregional Economic Cooperation
SOE	-	state-owned enterprise
STUDP	-	Secondary Towns Urban Development Project
TA	-	technical assistance
TCR	-	technical assistance completion report
TPRM	-	tripartite portfolio review meeting
TVET	-	technical and vocational education and training

Note

The fiscal year (FY) of the Government of Bhutan and its agencies ends on 30 June. FY2023 ends on 30 June 2023.

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EXECUTIVE SUMMARY

1. This country partnership strategy final review (CPSFR) presents a self-assessment of the active portfolio of grants, loans, and technical assistance (TA) projects of the Asian Development Bank (ADB) in Bhutan from 1 January 2019 to 30 June 2023. It covers operations approved during the current country partnership strategy (CPS), 2019–2023; and operations approved under the previous CPSs that were completed or were ongoing between 1 January 2019 and 30 June 2023. The current CPS is anchored on three strategic pillars: (i) economic reforms to foster a resilient and diversified economy, (ii) improved connectivity to provide access to information and markets, and (iii) greater inclusiveness through equitable socioeconomic development. The review covers 22 projects (loans and grants) amounting to \$569.3 million and 19 TA operations totaling \$18.9 million. The grants and loans cover eight sectors comprising energy (25%); finance (19%); water and other urban infrastructure and services (17%); transport (12%); public sector management (10%); agriculture, natural resources, and rural development (8%); health (6%); and education (3%). The CPSFR follows the guidelines of ADB's Independent Evaluation Department (IED). Its findings and recommendations will inform the design of the new Bhutan CPS for 2024 to 2028.

i. Performance Assessment of ADB Operations in Bhutan (2019–2023)

2. The CPSFR assesses ADB operations in Bhutan during 2019–2023 *successful* based on relevance, effectiveness, efficiency, sustainability, and development impact. Due to the pandemic which affected nearly half of the CPS period, some of the goals and activities of the CPS had to be revised and rescheduled. ADB had to provide urgent support to the Government of Bhutan for addressing coronavirus disease (COVID-19)-related challenges (para. 25 in the main text). ADB approved \$212.11 million in COL and \$32 million in Asian Development Fund (ADF) 13 thematic grants in 2020, 2021, and 2022. Of this, \$30 million in COL was for COVID-19 relief.

3. Despite the disruptions caused by the pandemic, ADB continued to respond adaptively and effectively to Bhutan's evolving priorities. It supported projects and programs to facilitate post-COVID-19 economic recovery and strengthen conditions for inclusive growth. For example, ADB expedited processing and approval of subprograms 2 and 3 of \$30 million each of the Financial Markets Development Program in 2020 and 2021 since it was critical to support Bhutan's economic recovery by strengthening credit appraisal and surveillance systems, improving access to finance, and enhancing financial inclusion. The Fiscal Sustainability and Green Recovery Program, approved in 2022, helped the government to strengthen domestic resource mobilization and create fiscal headroom. Given the challenges of processing investment loans during the pandemic when missions and field visits were not possible, some projects were delayed. The Water Flagship Program Support Project and the Renewable Energy for Climate Resilience Project were approved in 2022 and not in 2021 as planned. Overall, ADB was able to deliver on the three pillars of the CPS while providing the government with significant assistance to cope with the disruptions caused by the pandemic.

4. **Relevance.** The CPS is assessed *relevant*. It is aligned with the government's 12th Five-Year Plan and ADB's Strategy 2030. It diagnosed Bhutan's development challenges correctly and emphasized the right development priorities. The operations in agriculture, natural resources, and rural development; education; energy; finance; health; public sector management; transport; and water and other urban infrastructure and services sectors are all assessed relevant.

5. **Effectiveness.** ADB's support to Bhutan during 2019–2023 has been *effective*. All seven project completion reports (PCRs) prepared during the review period were rated *effective* or *highly effective*. The IED validated five PCRs of which, four (80%) were rated *effective* and one (20%)

less than effective. Nine TA completion reports (TCRs) were prepared, of which seven (78%) were rated *highly effective* or *effective*, and two *less than effective*. IED validated two TCRs and assessed both as *effective*. Some operations approved in late 2021 and 2022 are in the early implementation stage; hence, it is not possible to comment on their effectiveness yet.

6. **Efficiency.** The CPS is assessed *efficient* based on economic process efficiencies. The economic internal rates of return (EIRR) of the four completed projects show that three (75%) crossed the 12% threshold. The processing efficiency improved for the operations approved during the CPS. On average, the time elapsed between the approval of grants and loans to effectiveness decreased from 2.5 months for all operations during the review period to 1.2 months for those approved during the CPS. While portfolio performance suffered in 2020 and 2021, it picked up in the second half of 2022 after the travel restrictions and lockdowns were lifted.

7. **Sustainability.** Overall, ADB's support to Bhutan during the review period is *likely sustainable*. Of the seven completed PCRs from different sectors, five assessed that the project benefits were *likely sustainable*, one in the transport sector was *less than likely sustainable*, and one was not rated for sustainability. Given Bhutan's hilly terrain and the high risk of landslides, some of the roads built under ADB projects will need periodic repairs to be sustainable. The government emphasizes human capital development. This will ensure the sustainability of ADB's support for education and health. The energy sector receives adequate budget for maintenance given its vital contribution to export earnings. The water and other urban infrastructure and services sector support is likely to be sustained given the focus on improving urban infrastructure.

8. **Development impact.** The development impact of ADB's support is assessed *satisfactory*. ADB's support to Bhutan is broad-based, cuts across eight sectors (para. 2), and provides a good mix of investment and policy-based loans. In Phuentsholing, one of the largest cities of Bhutan bordering India, ADB's support covers river training, township development, road connectivity, and trade facilitation. Transport sector projects have improved connectivity within Bhutan and facilitated cross-border trade with India. The support for technical and vocational education and training (TVET) has modernized old training facilities and equipment, and updated skilling programs in line with changing market demand. ADB's support for utility scale solar power will help Bhutan to diversify its energy mix, plug some of hydropower shortfall in winter, and adapt to changing rainfall patterns. Under ADB's health sector support, Bhutan has expanded the number of satellite clinics in Thimphu and Phuentsholing, strengthened selected primary health centers, designed an electronic patient information system, and improved its preparedness for managing future pandemics. Urban sector projects are helping to improve water and sanitation infrastructure in selected cities, strengthen municipal governance, and expand the supply of affordable housing. Through policy-based loans, ADB is helping to modernize and strengthen Bhutan's financial markets, increase domestic resource mobilization through improved tax administration, support reforms of state-owned enterprises (SOEs), and encourage public-private partnerships (PPPs).

9. **Gender equality.** The CPSFR assesses ADB's support for gender equality relevant and corresponding development impact *satisfactory*. It is aligned with the government's 12th Five-Year Plan and its national key results areas (NKRA) for promoting gender equality and empowerment of women and girls. The focus of the CPS on gender equality is in line with the government's National Equality Policy 2020. About 91% of the projects during the review period promoted gender equality and women's empowerment.

10. **Private sector development.** The CPSFR assesses ADB's support for private sector development during the review period *relevant*, but its development impact *less than satisfactory*.

Owing to the small size of Bhutan's economy, landlocked location, high cost of doing business, limited access to finance and modern technology, infrastructure deficit, and the dominant role of SOEs, the private sector remains weak and small. The pandemic posed further challenges. Hence, ADB could not support private sector operations as planned under the CPS. However, ADB's sovereign support for power, road connectivity, urban township development, trade facilitation, skills development, policy reforms to modernize the financial sector and tax system, and support for PPPs indirectly enabled private sector development in Bhutan.

11. **Regional cooperation and integration.** The CPSFR rates ADB's support for regional cooperation and integration (RCI) *relevant* and associated development impact *satisfactory*. Two ongoing South Asia Subregional Economic Cooperation (SASEC) transport projects have helped to improve cross-border connectivity with India, streamlined customs and trade processes through the development of an electronic customs management system, and reduced the turnaround time for trucks entering and exiting Bhutan with goods. More such opportunities should be tapped under the forthcoming CPS.

12. **Climate change and disaster resilience.** The CPSFR assesses ADB's support for climate change and disaster resilience through development of hydropower and solar power and improving water conservation *relevant* and corresponding development impact *satisfactory*. The CPS focus is aligned with the NKRA 6 on carbon neutrality, climate, and disaster resilience. ADB provided budget support to the government for the needed reforms for climate actions. All these projects and programs are consistent with the government's Nationally Determined Contributions. ADB's portfolio of loans and grants during the review period included \$187.66 million in climate finance associated with 12 active projects, which accounts for 32% of the total approved amount. About 71% of climate finance was designated for mitigation and the remaining 29% for adaptation.

13. **Knowledge and capacity building.** The CPSFR assesses ADB's support to knowledge and capacity development *relevant* and associated development impact *satisfactory*. Despite the challenges posed by the pandemic, BHRM continued to conduct key capacity development workshops on environmental and social safeguards, procurement, financial management, and gender mainstreaming virtually during the pandemic. It prepared two knowledge products focusing on the pandemic. It coordinated with ADB's Governance group to study the reforms required to modernize Bhutan's tax administration and undertake a tax expenditure assessment. Support was provided to the Ministry of Finance to improve its macroeconomic forecasting capacity and to the National Statistics Bureau to transition from annual to quarterly labor force surveys.

ii. Performance of the Borrower

14. The review assesses the borrower and executing agencies' performance *satisfactory*. Of the seven PCRs, performance was rated *highly satisfactory* for two projects and *satisfactory* for five projects. Of the four validation reports, three projects were assessed *satisfactory* and one project *less than satisfactory*. The government has largely complied with loan covenants and met social and environmental safeguard standards, procurement, and financial management requirements for all projects. The audited project financial statements, audited entity financial statements (whenever applicable), and progress reports are submitted to ADB on time. Government counterparts have a close working relationship with BHRM staff and coordinate well during project missions, portfolio reviews, and policy dialogues. The government provides counterpart funding on time. MOF staff coordinate closely with BHRM on pipeline discussions, policy dialogue, and knowledge and capacity building needs.

iii. Performance of the Asian Development Bank

15. The review rates the performance of ADB *satisfactory*. Five PCRs rated ADB's performance *satisfactory*, one *highly satisfactory*, and one *less than satisfactory*. Similarly, of the four PCRs validated, IED assessed ADB's performance *satisfactory* and one *less than satisfactory*. ADB's rapid support during the COVID-19 pandemic and subsequent economic recovery is well appreciated. ADB has been a longstanding partner in renewable energy, urban, and transport sectors. It continues to build capacity in the critical areas of safeguard compliance, environmental management, project management, financial management, and procurement. ADB coordinates closely with all development partners including the IMF, JICA, United Nations, and the World Bank. Some government counterparts have expressed concerns about the time it takes for ADB to process new loans, review and clear procurement documents, and respond to requests for change of scope, project sites, and reallocation of loan funds. ADB should streamline its processes to reduce delays, align its requirements with the government's policies and processes where there is broad equivalence, and assign more staff for Bhutan operations.

iv. Issues, Lessons, and Recommendations

16. **Issues.** Key issues identified in the CPSFR confronting Bhutan are (i) narrow economic base with high dependence on the hydropower sector; (ii) heavy reliance on state-owned enterprises; (iii) weak private sector, limited job opportunities, high youth unemployment; (iii) vulnerability to climate change and disasters, (iv) limited access to finance, (vi) weak institutional capacity within the government and high turnover of staff, and (vii) underutilized regional cooperation and integration opportunities.

17. **Lessons.** The main lessons identified by the CPSFR are: (i) a coherent and predictable policy environment based on consultation will be critical for steering Bhutan's economy in the right direction, stimulating private sector investment, and promoting employment opportunities and livelihoods; (ii) strategic studies, flexibility in country programming, and greater collaboration between ADB's sovereign and non-sovereign operations will enable ADB to respond to Bhutan's development needs effectively; (iii) given the high turnover of counterpart staff, capacity development support should be provided to the government on an ongoing basis; and (iv) the design and readiness of projects need to be improved further before they are approved.

18. **Recommendations.** The CPSFR makes the following recommendations for the CPS 2024–2028:

- (i) Focus on upstream knowledge work and project readiness to build a robust pipeline.
- (ii) Incorporate climate adaptation and disaster resilience in the design and implementation of all projects.
- (iii) Create an enabling environment for public–private partnerships and private-sector development to diversify the economy and promote job opportunities.
- (iv) Identify additional opportunities for regional cooperation and integration.
- (v) Strengthen focus on gender equality and social inclusion further.
- (vi) Use tripartite portfolio review meetings more strategically to improve project implementation and portfolio management.
- (vii) Provide more staff resources to the Bhutan Resident Mission to enable it to deliver a growing and complex program more effectively.

I. INTRODUCTION

1. Bhutan joined Asian Development Bank (ADB) in 1982. As of 31 December 2022, ADB's cumulative commitments to Bhutan amounted to \$1.20 billion for 234 loans and grants projects and technical assistance (TA) projects and an additional \$2.17 million for 6 transactions under the Trade and Supply Chain Finance Programs.¹ ADB is currently the largest multilateral development partner of Bhutan. As of January 2023, ADB's portfolio comprised 15 loan and grant projects (\$345 million) and 13 TA projects (\$16 million). Bhutan is classified by ADB as a Group A country, eligible for concessional assistance only.² As of March 2023, the Government of India was the largest creditor, accounting for 65% of Bhutan's external debt, followed by ADB (16%), World Bank/International Development Association (14%), and other development partners (5%) comprising International Fund for Agricultural Development, Japan International Cooperation Agency (JICA), Government of Australia, State Bank of India/Export Import Bank, and the South Asia Association of Regional Cooperation Development Fund combined.³

2. ADB endorsed the current country partnership strategy (CPS) for Bhutan in August 2019.⁴ It covers the period 2019–2023 and is aligned with the government's 12th Five-Year Plan (2018–2023) (Appendix 1).⁵ ADB is formulating a new CPS for 2024–2028, which will be aligned with the forthcoming 13th Five-Year Plan (2024–2028). ADB requires the preparation of a CPS final review (CPSFR), which the Independent Evaluation Department (IED) will validate, to ensure that the findings and lessons therein will inform the preparation of the new CPS.

3. This CPSFR assesses ADB's country operations in Bhutan approved during the current CPS, 2019–2023; as well as those approved under the previous CPSs that have been completed or were ongoing during the period from 1 January 2019 to 30 June 2023 (review period). The assessment covers 22 projects supported by 34 loans and grants (Appendix 2) and 19 TA operations (Appendix 3) in agriculture, natural resources, and rural development; education; energy; finance; health; industry and trade; public sector management; transport; and water and other urban infrastructure and services sectors. During the review period, ADB prepared seven PCRs (two rated *highly relevant* and five *relevant*). IED validated four of the seven PCRs (three *relevant* and one *less than relevant*). Thirteen TCRs were prepared, of which 2 were rated *highly relevant* and 11 *relevant*. IED validated two TCRs and both TA projects were rated *relevant*. Appendix 4 summarizes the ratings of the PCRs, TCRs, and validation reports.

4. The last CPSFR validation report prepared by IED included operations active during 2014–2018.⁶ This review follows ADB's guidelines for evaluation against the five criteria of relevance, effectiveness, efficiency, sustainability, and development impact.⁷ It also assesses performance in the key thematic areas of ADB operations and the performance of the borrower

¹ ADB. 2023. *Asian Development Bank Member Fact Sheet: Bhutan*. Manila. The cumulative ADB support up to 2022 covered energy (30%); transport (15%); finance (12%); water and other urban infrastructure and services (12%); public sector management (12%); agriculture, natural resources, and rural development (7%); education (3%); industry and trade (3%); health (4%); multisector (1%); and trade and supply chain finance (0.2%).

² ADB. 2023. Classification and Graduation of Developing Member Countries. *Operations Manual*. OM A1. Manila.

³ Government of Bhutan, Ministry of Finance. 2023. *Public Debt Situation Report March 2023*. Thimphu.

⁴ ADB. 2019. *Country Partnership Strategy: Bhutan, 2019–2023—Fostering Diversification and Reducing Disparities*. Manila.

⁵ Government of Bhutan, Gross National Happiness Commission. 2018. *Twelfth Five Year Plan-Main Document*. Thimphu.

⁶ ADB. 2018. *CPS Final Review Validation. Bhutan Validation of the Country Partnership Strategy Final Review, 2014–2018*. Manila.

⁷ ADB. 2015. [2015 Guidelines for the Preparation of Country Assistance Program Evaluations and Country Partnership Strategy Final Review Validations](#). Manila.

and ADB during the review period.

5. The CPSFR was conducted in four stages: (i) desk review of project documents and analysis of portfolio data, (ii) interviews with relevant ADB project officers at the ADB headquarters and the BHRM, (iii) a field mission (27 February–9 March 2023) to Bhutan for conducting interviews with senior representatives of the executing agencies and visits to selected project sites, and (iv) report writing and incorporation of comments from reviewers.

II. STRATEGIC CONTEXT

6. Bhutan is a landlocked South Asian country with a population of approximately 760,000 people and an estimated per capita gross domestic product (GDP) of \$3,833 in 2022.⁸ Of the total 38,394 square kilometers of land area, only 2.76% is arable. Bhutan was classified as a lower-middle-income country in 2022.⁹ It is set to graduate from the group of least developed countries (LDCs) by the end of 2023.¹⁰

7. **The economy.** Agriculture accounted for 19.2% of GDP and employed 52.3% of economically active people in 2021, with women accounting for 52.6% of those employed in the sector. Services (excluding real estate) accounted for 4.9% of GDP and provided employment to 35.2% of the economically active population. Under services, the largest subsector is retail and trade, which accounts for 10.8% of GDP and 9.5% of employment (55.1% of employees in the sector are women). The COVID-19 pandemic-related restrictions, which lasted about 2.5 years (from March 2020 to September 2022), cover nearly 50% of the review period. Bhutan's GDP contracted by 10% in 2020 before recovering to over 4% growth in 2021 and 2022. Aside from the pandemic, slowdown in the construction and operation of hydropower plants, lower electricity production due to inadequate rain, weak growth in manufacturing, and a sharp reduction in tourist inflows have all affected the economy.

8. **Sector performance.** In 2021, expansionary fiscal measures contributed to a 4.1% GDP growth and 28.3% growth in mining and quarrying, followed by 16.2% growth in transport and 8.8% growth in cross-border movement of goods and people. Fiscal stimulus measures and easing of pandemic-related restrictions contributed to a 5.1% growth in aggregate final consumption expenditure. Similarly, the government's final consumption increased by 5.7%. The agriculture sector grew by only 2.0%, and the electricity and water supply sector contracted by 3.7% due to lower rainfall and the shutdown of the Mangdechhu hydropower plant from September 2020 to August 2021 for repair and maintenance. Also, major repair of the Tala headrace tunnel section was carried out from January to March 2022, during which the plant was shut down. Furthermore, the rainfall and hydrological flow in rivers was weak in 2021 relative to 2020. Bhutan's economy grew by 5.2% in 2022 according to the National Accounts Statistics (2023) and the ADB projects that it will grow by 4.3% in 2023 (Asian Development Outlook, September 2023 Update), driven by a rebound in hydropower production and a modest recovery in tourism-related services. However, the tourist arrivals since the re-opening of borders in September 2022 through May 2023 show a 75% reduction compared with pre-COVID-19

⁸ National Statistics Bureau. 2023. National Accounts Statistics 2023.

⁹ N. Hamadeh et al. 2022. New World Bank country classifications by income level: 2022–2023. *World Bank Blogs*. 1 July. <https://blogs.worldbank.org/opendata/new-world-bank-country-classifications-income-level-2022-2023> (accessed 19 March 2023).

¹⁰ M. Razzaque. 2020. Graduation of Bhutan from the group of least developed countries: Potential implications and policy imperatives. *UNESCAP Working Paper Series*. WP20/04. Bangkok: United Nations Economic and Social Commission for Asia and the Pacific. <https://www.un.org/ldcportal/content/graduation-bhutan-group-least-developed-countries-potential-implications-and-policy>.

numbers for the same months.

9. **Poverty status.** In 2022, Bhutan's poverty rate was estimated to be 12.4%, which is methodologically not comparable to the 2017 estimate (8.2%) due to a substantial upward revision of the national poverty line in 2022. The poverty rate in rural areas (17.4%) is much higher than that in urban areas (4.2%), and slightly lower for households headed by women (12.3%) than households headed by men (12.5%).¹¹ Analysis of the Bhutan Living Standards Survey, Multidimensional Poverty Index, and Gross National Happiness Survey (all 2022) suggests that a reduction in poverty was achieved between 2017 and 2022 despite the pandemic, though confirmation will only come later in the year when the National Statistics Bureau releases comparable poverty rate estimates for 2017 and 2022. Consumption inequality fell from 0.35 in 2017 to 0.29 in 2022 by the Gini Index. The Human Development Index of Bhutan improved from its ranking of 134 (0.617) in 2018 to 127 in 2021 (0.666), attributable to improvements in all components of this index, particularly life expectancy, expected years of schooling, mean years of schooling, and gross national income per capita.¹²

10. **Development challenges.** Bhutan has benefitted from 40 years of partnership with ADB in addressing key socioeconomic development challenges. However, several interrelated development challenges remain.

11. **Narrow economic base and employment opportunities.** The economy is heavily dependent on hydropower generation and construction, which together account for about one-quarter of GDP but employ only about 7% of the workforce. Hydropower exports are essential for macroeconomic stability, accounting for 25% of national revenue. However, the sector employs only 1% of the workforce. Tourism and related services have traditionally been among the main sources of jobs since the mid-1990s liberalization reforms, but the sector was hit hard by COVID-19 restrictions on travel. Policy decisions in 2022 dampened the sector's recovery. As part of its renewed focus on "High value and low-volume tourism," the government levied \$200 per person per night as sustainable development fees on non-Indian tourists and around \$15 per person per night on Indian tourists with effect from July 2022. Druk Air and Bhutan Airlines, the two airlines allowed to operate in Bhutan, nearly doubled the fares for non-Bhutanese travelers. These decisions adversely affected hotels, restaurants, airlines, tour operators, and businesses and services with economic links to the tourism sector. The number of tourists to visit Bhutan between September 2022 to March 2023 was less than 30% of the level during the comparable pre-COVID period. To revive the tourism sector and related services, the government has now offered a 50% discount on the sustainable development fee for non-Indian tourists with effect from 1 September 2023. This will be in place till 31 August 2027. It is hoped that with this reduction, the number of tourists will increase. The agriculture sector remains distressed as a result of low productivity, limited markets, high levels of rural-urban migration, and growing human-wildlife conflict. Around 28.6% of Bhutan's youth are unemployed, versus 5.9% of the overall economically active population.¹³ Women faced an 7.9% overall unemployment rate (versus 4.4% for men), and a 32.8% youth unemployment rate (versus 24.4% for men).

12. **Limited access to finance for the private sector.** Constraints on the private sector are a major contributing factor to Bhutan's inability to diversify its economy. In the 2022 Establishments Survey, 45% of proprietors identified a lack of access to finance as a constraint on the growth of small businesses. The concern is especially strong for cottage and small-scale

¹¹ Government of Bhutan, National Statistics Bureau. 2022. *Poverty Analysis Report, 2022*. Thimphu.

¹² UNDP. 2019 and UNDP 2022. *Human Development Report 2019 and 2023*, New York.

¹³ Government of Bhutan, National Statistics Bureau. 2023. *2022 Labour Force Survey Report Bhutan*. Thimphu.

industries (CSI), which dominate the private sector and usually lack the required collateral for institutional credit. The application process tends to be tedious. Financing institutions are unwilling to lend to potentially risky small borrowers in the absence of credible guarantees from collateral and/or the government—a common issue in countries with underdeveloped credit markets. The private sector has to compete with state-owned enterprises (which account for one-third of market turnover) for finance and other resources. Further, overall credit sanctioned by financial institutions has been low in the aftermath of COVID-19 due to the high share of nonperforming loans which affects all banks. The high share of nonperforming loans was a major problem even prior to the pandemic due to weak credit underwriting processes, low collateral enhancement, and absence of an independent entity for collateral valuations.

13. Shortage of skilled workforce. Low wages, limited career growth, and lack of opportunities in the private sector are pushing young and mid-career professionals to seek opportunities overseas. Since the end of the pandemic, there has been a sharp increase in the number of Bhutanese who are migrating overseas to advanced economies with high labor demand. In 2022–2023, an estimated 10,000 Bhutanese migrated to Australia on student and/or dependent visas; unofficial estimates put the number at around 40,000. A high proportion of immigrants are applying for permanent residency overseas. Most of those who are migrating are educated (including former civil servants, teachers, doctors, nurses, hotel staff, and tour guides) and of working age. This departure of qualified and skilled workers is aggravating the shortage of skilled workers. Several government counterpart staff who were working on ADB-funded projects across sectors and on issues like environmental and social safeguards, procurement, gender mainstreaming, financial management, project management, and climate change have resigned over the past 1.5 years and emigrated. Unfortunately, there is reluctance within the government to engage international experts using loan funds even when similar skills and experience are not available in-country.

14. Large regional disparities. According to the 2022 Poverty Analysis Report, 87% of Bhutan's rural poor live in rural areas, and 28% of rural households say that investing in roads is the top program that government can undertake to improve their welfare. This is by far the most common response (followed by water and sanitation investments at 17% of responses). Lack of connectivity prevents a large fraction of the population from accessing markets and participating in economic growth. While ADB has supported Bhutan to improve internal connectivity with several road projects and cross-border connectivity under the SASEC program during the review period, there is scope for doing more. By improving road connectivity between districts and along Bhutan's southern border with India, business, trade, and job opportunities will increase.

15. Tight fiscal space. Resulting from its incomplete recovery from COVID-19 and import dependency, Bhutan faces growing fiscal and external imbalances. After 3 consecutive fiscal years of large increases in expenditure (31% growth in FY2020, 23% in FY2021, and 9% in FY2022), outlays decreased by 1% in FY2023. But consecutive years of widening fiscal deficits (from 2% in FY2020 to 8% in FY2023) have worsened the national debt situation. Public debt as a percentage of GDP increased to 129.1% in December 2022 from 126.8% in December 2021, driven by a 3.2% increase in domestic debt, which was associated with the issuance of new treasury bills and government bonds in 2022. To control the debt situation, the government is taking measures to strengthen debt management, including raising transparency and reporting standards, and bringing the fiscal deficit back below 5%. Lack of fiscal space is limiting government capacity for investment programs and is already evident in the planned 2023–2024 budget, with the planned capital spending share falling by 14 percentage points versus the previous year (from 53% of the budget to 39%). Bhutan will graduate from the group of LDCs by end of 2023, which means that its access to the amount of grants and resources for technical

cooperation will be reduced over time. The United Nations and its agencies are expected to reduce their staff presence in the country. Bhutan plans to scale up investment in more hydropower projects to generate more export revenue. While traditionally, its hydropower projects have been funded by the Government of India through a mix of loans and grants along with power purchase agreements, going forward, the Government of Bhutan wants to tap multilateral and other bilateral sources of funding for constructing hydropower plants. Concessional loans available for Bhutan as a Group A country will not be adequate given the scale of hydropower projects. Bhutan will have to tap more non-concessional funds, but the impact of this on its debt sustainability will have to be assessed carefully.

16. **Growing external sector imbalance.** Bhutan's narrow productive base has left it highly dependent on imports, with over half of GDP spent on imports since 2021. That dependency on imports for essential goods has fed growing external imbalance since the onset of the COVID-19 pandemic which, along with the Russian invasion of Ukraine, caused supply chain disruptions that raised commodity prices. Imports increased by 71.9% in nominal terms from 2019 to 2022, while exports increased by only 19.8%. The sharp rise in imports was due to increases in prices of major import items such as fuel and steel products, and a significant increase in imports of information technology equipment and processing units for bitcoin mining. Bhutan imports close to \$122 million worth of fuel from India annually, and the unit price of diesel rose by 37% in 2022. The current account deficit widened from 13.7% of GDP in 2020 to 21.9% of GDP in 2021, and further to 38.4% in 2022. While inflation is expected to moderate in the coming 2 years, downside risks and any depreciation of the Indian rupee will strain Bhutan's ability to service non-Indian rupee-denominated debt.

17. **Limited preparedness for climate change and disasters.** Bhutan continues to experience the adverse impacts of climate change and disasters such as floods and droughts, resulting in the loss of lives, physical assets, and livelihood opportunities. Since Bhutan's hills are relatively young in terms of geological history, the rock quality is generally poor. The risk of landslides, particularly during the monsoon, is very high. More robust due diligence is required during design and implementation of ADB's infrastructure projects, with adequate funds being allocated for geotechnical studies, slope stabilization, and climate proofing. The glaciers in the Bhutanese Himalaya are retreating at a fast rate. The risk of glacial lake outburst floods is very high. The Eastern Himalaya biodiversity hotspot is one of 36 biodiversity hotspots of the world.¹⁴ Bhutan falls within this biodiversity hotspot. Bhutan's five national parks, four wildlife sanctuaries, one nature reserve, and biological corridors are home to globally endangered species. Hence, it is essential to ensure environmental sustainability and disaster resilience while investing in Bhutan's road, urban, water, and energy infrastructure.

III. ASSESSMENT OF COUNTRY PARTNERSHIP STRATEGY PERFORMANCE

A. Relevance

18. This section discusses ADB's relevance to Bhutan's development from strategic, sector, and thematic perspectives. The CPSFR assessed ADB's support to Bhutan *relevant* during the review period. The assessment is based on (i) the alignment of ADB's strategies, policies, and priorities with the government's development priorities; (ii) appropriate sector selection including financing modalities; (iii) the consistency of sector operations with the objectives of the CPS; (iv) appropriateness and adequacy of the CPS results framework; (v) the complementarity of ADB's

¹⁴ Tej Kumar Nepal. 2021. Sustainability of biodiversity in Bhutan. *International Journal of Recent Advances in Multidisciplinary Topics*. 10 (2).

sector operations with those of other development partners; and (vi) the design quality of completed operations. The operations are also assessed *relevant* (Appendix 4).

19. ADB's support to all sectors in Bhutan has been assessed *relevant*. The design of the CPS, 2019–2023 was a natural progression from the CPS, 2014–2018 and was aligned with ADB's Strategy 2030 and associated operational priorities. It reflected the priorities of the government's 12th Five-Year Plan. Appendix 1 summarizes the government's NKRA as laid down in the 12th Five-Year Plan.¹⁵ The projects, particularly those approved during the CPS period, show an improvement in the quality of the project documents and overall design. The TA projects helped to improve project design, build institutional capacity, and support demand-based knowledge products. Similarly, support for key thematic areas of gender equality, RCI, private sector development efforts, and knowledge work is assessed *relevant*. The review recognizes that since ADB had to provide COVID-19-related support on an emergency basis, some of the original goals and activities of the CPS had to be reviewed and adjusted. Since no mission travel to Bhutan was possible between March 2020 and mid-May 2022, it was very difficult to design investment loans virtually and to raise the level of project readiness adequately. BHRM and sector staff from ADB headquarters tried their best to continue the work remotely, but there were limits to what could be achieved without field visits and in-person consultations with government counterparts. Geotechnical surveys, safeguards assessments, procurement surveys, and stakeholder consultations could not be undertaken, and this delayed project processing.

1. Consistency with Government and ADB Strategies, Policies, and Priorities

20. The 12th Plan aimed at creating a just, harmonious, and sustainable society through enhanced decentralization. The CPS was closely aligned with 11 of the 17 NKRA of the government including economic diversification; reducing poverty and inequality; carbon neutrality and climate and disaster resilience; quality of education and skills; food and nutrition security; infrastructure, communication, and public services; gender equality; productive and gainful employment; a healthy and caring society; sustainable human settlements; and sustainable water.¹⁶ The 12th Plan was aligned with the Sustainable Development Goals. The CPS priorities were consistent with all Sustainable Development Goals except goals 12, 14, 15, and 16.

21. The CPS's three pillars are a logical progression of the strategic focus in the CPS, 2014–2018 (Appendix 5), which emphasized self-reliance and inclusive green socioeconomic development by supporting inclusive economic growth, environmental sustainability, and RCI. Likewise, the CPS, 2019–2023 aimed to foster economic diversification and reduce spatial and social disparities by supporting dynamic economic reforms for a resilient and diversified economy, improved connectivity for better access to information and markets, and greater inclusiveness through more equitable socioeconomic development. The CPS focused on crosscutting themes of private sector development, capacity building and knowledge solutions, and gender mainstreaming in ADB operations.

22. ADB's country operations business plans for Bhutan for 2019–2021, 2020–2022, and 2021–2023 continued to support the CPS's approach for a small landlocked country, aiming to create quality jobs and fostering CSIs (cited in country operations business plans and sector focus listed in Appendix 6). They were also aligned with ADB's Strategy 2030,¹⁷ Regional Cooperation

¹⁵ Government of Bhutan, Gross National Happiness Commission. 2019. *Twelfth Five Year Plan Document Volume-I Main Document*. Thimphu.

¹⁶ The alignment of ADB sector operations, CPS objectives, and government priorities are discussed in paras. 18–19.

¹⁷ ADB. 2018. [Strategy 2030: Achieving Prosperous, Inclusive, Resilient, and Sustainable Asia and the Pacific](#). Manila.

and Integration Strategy,¹⁸ and relevant sector and thematic policies and operational plans.¹⁹ From 2011 to 2018, Bhutan's country resource envelope constituted 50% in ADF grants and 50% ADF loans. Starting in 2019, COL has been the primary source of ADB financing for Bhutan.

2. Sector Selectivity and Selection of Modality

23. **Sector selectivity.** The CPS, 2019–2023 focused on supporting agriculture, natural resources, and rural development; education; energy; finance; health; public sector management; transport; and water and other urban infrastructure and services sectors.²⁰ It aimed at the commercial closing of at least two new PPP infrastructure projects during the CPS period. The initial focus of the sectors in the CPS was appropriate and relevant to Bhutan's development priorities. Since ADB had to respond to the government's request for budget support and assistance for COVID-19 relief and surveillance efforts, the broad sector priorities of the CPS and the timing and the allocations of the proposed loans had to be adjusted. Appendix 6 shows the deviation between what was planned under CPS, 2019–2023 and approvals.

24. **Coronavirus disease response.** ADB quickly responded to the government's request for assistance in addressing the COVID-19 pandemic. It approved a grant of \$100,000 on 27 March 2020 to strengthen Bhutan's capacity to prevent, detect, and respond to the outbreak. The grant was used to procure medical supplies and personal protective equipment for healthcare workers.²¹ On 25 April 2020, ADB approved a \$1.07 million grant to procure additional personal protective equipment and intensive care unit equipment. On 4 May 2020, ADB approved a \$20 million loan to support Bhutan's efforts to stimulate the economy, protect public health, and mitigate the effects of the pandemic.²² On 21 July 2020, ADB approved an additional \$2 million grant for Bhutan from the Asia Pacific Disaster Response Fund to help finance the government's emergency response to the pandemic.²³ In August 2022, ADB approved a \$10 million loan to help the government purchase vaccines against COVID-19.²⁴ In parallel, ADB is administering a \$3 million grant from the Japan Fund for Prosperous and Resilient Asia and the Pacific to improve the public's access to primary health care services, including COVID-19 vaccination and routine immunization through the purchase and deployment of mobile medical unit vehicles for remote areas. The grant will train medical personnel, improve outreach of service delivery and biomedical waste management, and support the government by providing medical and laboratory equipment and supplies. ADB's timely support helped the government to mitigate some of the negative health, social, and economic effects of the COVID-19 pandemic.

¹⁸ ADB. 2006. *Regional Cooperation and Integration Strategy*. Manila.

¹⁹ Some of the key ADB policy and operational plans include Safeguard Policy Statement (2009), Water Operational Plan (2011–2020), Energy Policy (2009), Sustainable Transport Initiative Operational Plan (2010), Urban Operational Plan (2012–2020), Education by 2020: A Sector Operation Plan (2010), and Environment Operational Directions (2013–2020).

²⁰ The Bhutan CPS 2014–2018 included four key sectors: energy; finance; transport; and water, urban, and sanitation, while the current CPS 2019–2023 design has a broader scope and covers agriculture; education; energy; finance; health; industry; transport; and water, urban, and sanitation sectors.

²¹ ADB. 2020. ADB Approves \$20 Million to Support Bhutan's COVID-19 Response. *News release*. 4 May. <https://www.adb.org/news/adb-approves-20-million-support-bhutans-COVID-19-response>.

²² ADB. 2020. *Report and Recommendation of the President to the Board of Directors: Proposed Countercyclical Support Facility Loan to the Kingdom of Bhutan for the COVID-19 Active Response and Expenditure Support Program*. Manila.

²³ ADB. 2020. *Grant Agreement Asia Pacific Disaster Response Fund (COVID-19 Emergency Response Project between the Kingdom of Bhutan and Asian Development Bank)*. Thimphu.

²⁴ ADB. 2022. *Report and Recommendation of the President to the Board of Directors: Proposed Loan and Administration of Grant to the Kingdom of Bhutan for the Responsive COVID-19 Vaccines for Recovery Project under the Asia Pacific Vaccine Access Facility*. Manila.

25. ADB also continued to respond adaptively and effectively to support Bhutan's economic recovery while funding long-term developmental projects. For example, ADB expedited processing and approval of subprograms 2 and 3 of \$30 million each of the Financial Markets Development Program in 2020 and 2021 since strengthening of the credit appraisal and surveillance systems, development of the bond market, and reforms to enhance financial inclusion would be critical for supporting the recovery of Bhutan's economy after the pandemic. The Fiscal Sustainability and Green Recovery Program, approved in 2022, helped the government to (i) strengthen domestic resource mobilization to create fiscal headroom needed to increase capital spending; (ii) promote private sector development, especially CSIs; and (iii) foster green recovery by supporting the introduction of adaptation and mitigation strategies to enhance resilience.²⁵ Given the challenges of processing investment loans during the pandemic when missions and field visits were not possible, some projects were delayed. The Water Flagship Program Support Project and the Renewable Energy for Climate Resilience Project were approved in 2022 and not in 2021 as planned.²⁶ The TVET Education Project (renamed as the Pathways for Emerging Skills and Jobs Project), originally proposed for 2022, was approved in August 2023. It will help the government to tackle the problem of youth unemployment which worsened during the pandemic. Overall, ADB was able to deliver on the three strategic pillars of the CPS while providing the government with significant assistance to cope with the disruptions caused by the pandemic.

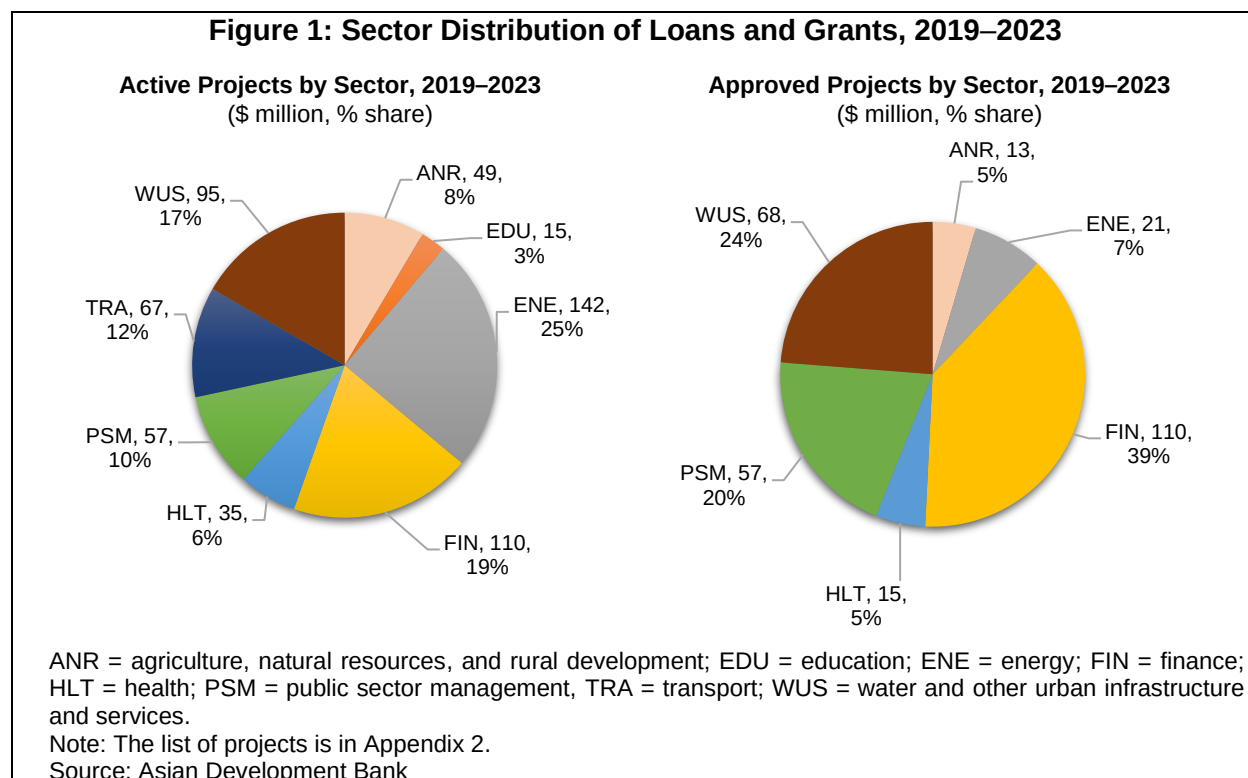
26. The review period covered projects and programs in eight sectors (agriculture, natural resources, and rural development; education; energy; finance; health; public sector management; transport; and water and other urban infrastructure and services) (Figure 1, left chart).²⁷ Due to ongoing projects in the transport and education sectors, no new loan or grant was approved in these sectors during 2019–2023.²⁸ The coverage during the CPS was limited to only five sectors aligned with the government's development priorities (Figure 1, chart on the right). The share of the transport sector in Bhutan's overall portfolio is lower than that in many other developing member countries owing to the large support for road construction that Bhutan has traditionally received from the Government of India. Furthermore, as a small country, Bhutan has a limited absorptive capacity and annual lending from ADB was capped at around \$50 million–\$55 million on average during the CPS period. Appendix 6 shows the planned ADB sector allocations in each of the 3-year planning periods and compares them with the actual approvals.

²⁵ ADB. 2022. [*Report and Recommendation of the President to the Board of Directors: Proposed Programmatic Approach, Policy-Based Loan for Subprogram 1, and Technical Assistance Grant to the Kingdom of Bhutan for the Fiscal Sustainability and Green Recovery Program*](#). Manila.

²⁶ ADB. 2022. [*Report and Recommendation of the President to the Board of Directors: Proposed Loan, Grant and Administration of Grant to the Kingdom of Bhutan for the Water Flagship Program Support Project*](#). Manila; and ADB. 2022. [*Report and Recommendation of the President to the Board of Directors: Proposed Loan and Grant to the Kingdom of Bhutan for the Renewable Energy for Climate Resilience Project*](#). Manila.

²⁷ On project count, Phuentsholing Township Development Project (PTDP) is counted under water, urban, and sanitation and the Water Flagship Program Support Project is counted under agriculture and natural resources. On approved project amounts: (i) \$35.64 million under PTDP (Grant 0573/Loan 3668) is counted under agriculture and natural resources and \$17.36 million is counted under water, urban, and sanitation; (ii) full amount of \$28.5 million under PTDP-Additional Financing (Grant 0765/Loan 4019) is counted under water, urban, and sanitation; and (iii) \$9 million under Water Flagship Program Support Project is counted under water, urban, and sanitation and \$13 million is counted under agriculture and natural resources.

²⁸ ADB. 2018. [*Report and Recommendation of the President to the Board of Directors: Proposed Grants and Technical Assistance Grants to the Kingdom of Bhutan for the Health Sector Development Program*](#). Manila; and ADB. 2018. [*Report and Recommendation of the President to the Board of Directors: Proposed Grant to the Kingdom of Bhutan for the Skills Training and Education Pathways Upgradation Project*](#). Manila.

Figure 1: Sector Distribution of Loans and Grants, 2019–2023

27. **Selection of modalities.** The project modality remained the dominant mode of ADB financing, supporting 14 grants, 17 loans, and 3 Japan Fund for Prosperous and Resilient Asia and the Pacific grants of \$569.3 million (Appendix 2). The project loans and grants accounted for approximately 75% of the total approval amount and covered operations in agriculture, natural resources, and rural development; education; energy; finance; health; public sector management; transport; and water and other urban infrastructure and services sectors. The following policy-based loans were approved: the Financial Market Development Program ([FMDP] 3 subprograms of \$30 million each: FMDP1, FMDP2, and FMDP3), the Fiscal Sustainability and Green Recovery program (2 subprograms, the first of which for \$37.35 million was approved in 2022), and the Health Sector Development Program (HSDP) (policy component of \$14.00 million grant). These five program loans and grant operations accounted for approximately 25% of the total approved amount of the ADB Bhutan portfolio.

28. During the review period, ADB approved 19 TA projects amounting to \$18.9 million. These projects provided appropriate support to ADB program and project operations. These comprised project preparation and transaction advisory (11 TA projects), capacity development (1 TA), and knowledge and support (7 TA projects) (Appendix 3). The finance sector received \$5.2 million (27%), followed by the transport sector (\$4 million, or 21%), the energy sector (\$3.8 million, or 20%), industry and trade (\$2 million, or 11%), education (\$1.2 million, or 6%), water and other urban infrastructure and services (\$1 million, or 5%), public sector management (\$0.8 million, or 4%) and \$0.5 million each in agriculture, natural resources, and rural development, and health sectors. Bhutan also received capacity development and knowledge and support initiatives through ADB's regional TA projects on relevant topics.

29. The CPS recognized the importance of PPP projects. The CPS results framework envisaged greater participation of the private sector in development projects through the successful commercial closing of at least two new PPP infrastructure contracts during 2019–2023.

The 2019–2021 indicative business plan included three regional PPP knowledge products: (i) a background paper on Bank Finance to PPP Projects in Asia; (ii) a working paper on Waste to Energy, Enabling Environment for PPP; and (iii) a presentation of Results for the 2016 PPP Update for Selected Economies in Asia and the Pacific. These activities could not be undertaken mainly because the focus of the government was on the pandemic. A mission comprising staff of the OMDP visited Bhutan in March 2023 and met with relevant line ministries, private sector representatives, and donor partners. The Government of Bhutan is keen to explore the scope for PPPs in solar power, urban water and sanitation, and health diagnostics. ADB has offered consultants to MOF to build capacity for screening and structuring potential PPP projects and preparing a PPP road map. ADB has committed to support the review of PPP policy and conduct pre-feasibility studies of some potential PPP projects as required.

3. Consistency of ADB Support with Country Partnership Strategy Objectives

30. The CPS, 2019–2023 offered support for economic diversification and reducing spatial and social disparities. It was aligned with Bhutan’s development targets: annual average real GDP growth of 5%–6% during 2019–2023, reducing multidimensional poverty to below 5% by 2023, and reducing the Gini Coefficient to less than 0.38 by 2023. ADB support to Bhutan followed strategic objectives and the thematic focus on gender mainstreaming, capacity development and knowledge, private sector development, and climate change and disaster risk reduction.

(i) Pillar I: Dynamic Economic Reforms for a Resilient and Diversified Economy

31. The strategic objective of Pillar I was to be achieved by (i) supporting policy-based reforms for a resilient and diversified economy, (ii) supporting institutional reforms to improve sector efficiency, and (iii) promoting private sector development and operations. These were expected to raise the contribution of non-hydropower industries to the economy, increase access to finance for the private sector, incentivize more efficient use of energy, and enable greater participation of the private sector in development projects. The CPS envisaged that this pillar would advocate reforms and develop the capacity to promote a competitive business environment.

32. **Finance.** ADB’s support to the finance sector was *relevant*. ADB approved 4 program loans, 1 project loan, and 10 TA projects during the review period. The three subprograms of FMDP supported 3 of the 17 NKRA of the 12th Plan: (i) NKRA 1: macroeconomic stability, (ii) NKRA 2: economic diversification, and (iii) NKRA 3: reducing poverty and inequality. The PCR noted that all three outputs had been achieved: (i) nonbank financial system developed, (ii) the stability and integrity of the financial system strengthened, and (iii) financial inclusion promoted.²⁹ These outputs enabled the financial system to better serve the needs of the real economy by promoting private savings and investments.

33. The program design of FMDP was consistent with ADB’s CPS, 2019–2023; the Finance Sector Operational Plan; and Strategy 2030. It followed logical sequencing of the policy actions for each reform area under the three subprograms. According to the PCR, the program supported innovative features such as (i) facilitating a regulatory framework to establish a fintech regulatory sandbox (this is established and the Royal Monetary Authority [RMA] is receiving proposals), (ii) implementing a centralized data warehouse and data analytics system for the RMA, and (iii) exploring the feasibility of central bank digital currency. The data warehousing project was designed after the RMA adopted a data warehousing policy. A centralized data warehouse will

²⁹ ADB. 2023. [Completion Report. Financial Market Development Program \(Subprograms 1, 2, and 3\) in Bhutan](#). Manila.

make a significant impact on RMA's operations and assist in risk-based supervision and issuance of appropriate regulations. Data integrity and availability will be key in designing effective examinations. The data warehousing project is expected to have significant impact on day-to-day bank reporting to RMA. This project is under implementation with ADB TA. The PCR notes that the policy actions and indicators in the design and monitoring framework were crucial in creating an appropriate financial landscape, addressing the binding constraints to holistic development given the strong interlinkages among the three outputs.

34. ADB's support for the Rural Finance Development Project is assessed as much needed and long overdue.³⁰ The project aims to enhance access to finance for rural CSIs for increasing rural employment and promoting economic development. It focuses on (i) expanding collateral-based rural CSI finance through the Bhutan Development Bank, (ii) extending non-collateral-based group loans to rural CSIs that lack collateral assets, (iii) strengthening Bhutan Development Bank's institutional capacity; and (iv) providing financial literacy training and business development support to CSIs, particularly those owned by farmers and women.

35. The TA projects have played an important role in introducing and supporting economic reforms by complementing program loans and selected knowledge work. ADB operations in the finance sector have benefitted from seven TA projects of \$5.2 million, of which two are in the knowledge and support area and the remaining five are transaction TA projects. The knowledge and support TA for the Diagnostic Study and Strategy Development for Rural Finance Sector Development was assessed *relevant* in both the TCR and the TCR validation report.³¹ The knowledge and support TA for the Supporting Financial Sector Reform supports financial sector reforms by assisting the RMA.³² The TA projects were relevant for delivering sound project design documents and subsequent capacity development in the finance sector project and programs.

36. **Public sector management.** ADB support to public sector management operations is *relevant*. ADB approved the Fiscal Sustainability and Green Recovery Program (footnote 25) in 2022 to (i) strengthen domestic resource mobilization to create fiscal headroom needed to increase capital spending; (ii) promote private sector development, especially CSIs; and (iii) foster green recovery by supporting the introduction of adaptation and mitigation strategies to enhance resilience. The program (subprogram 1) addresses the objectives of Pillar I (support institutional reforms to improve sector efficiency and promote private sector development) and Pillar III (promote gender equality). The knowledge and support TA for Strengthening Policy Formulation and Implementation focused on building the government's institutional capacity in policy formulation and implementation for effective debt management and robust macroeconomic analysis, including private sector participation which supports the objective of CPS's Pillar I.³³ ADB also approved the COVID-19 Active Response and Expenditure Support Program in 2020 (\$20 million) under the ADB COVID-19 Pandemic Response Option modality to counter the adverse macroeconomic impact of the pandemic, especially on the vulnerable population.

37. **Private sector development.** The CPSFR assessed ADB's support for private sector development *relevant*. It supports CPS Pillar I objective of promoting private sector development

³⁰ ADB. 2020. [Report and Recommendation of the President to the Board of Directors: Proposed Loan and Technical Assistance Grant to the Kingdom of Bhutan for the Rural Finance Development Project](#). Manila.

³¹ Independent Evaluation Department. 2022. [Validation Report: Diagnostic Study and Strategy Development for Rural Finance Sector Development in Bhutan](#). Manila: ADB.

³² ADB. 2021. [Completion Report. Diagnostic Study and Strategy Development for Rural Finance Sector Development in Bhutan](#). Manila; Independent Evaluation Department. 2022. [Validation Report: Diagnostic Study and Strategy Development for Rural Finance Sector Development in Bhutan](#). Manila: ADB.

³³ ADB. 2020. [Technical Assistance to Bhutan for Strengthening Policy Formulation and Implementation](#). Manila.

and operations and Pillar III objective of inclusiveness. It is aligned with the government's 12th Five-Year Plan NKRA 2: economic diversification emphasis on attracting private and foreign investment and promoting high-value CSIs. ADB approved a \$3 million equity investment in Mountain Hazelnuts Group Limited in 2015 for the Hazelnut Value Chain Development Project to promote the development of an innovative agricultural value chain.³⁴ The Mountain Hazelnuts Group Limited's business model was an entrepreneur-led export-oriented model that addressed the constraints of the Bhutan agriculture sector through private sector investment, technology, skills, and market-based incentives. It was ADB's first nonsovereign agribusiness project in Bhutan. Unfortunately, this project did not do well, and the full investment amount (\$2.75 million) had to be written off. The Private Sector Operations Department (PSOD) exited the venture in July 2022 by surrendering its shares. In 2021, ADB approved a regional TA of \$2.22 million for the Supply Chain Finance Capacity Development to Support Small and Medium-Sized Enterprises covering four countries (Bhutan, Bangladesh, Nepal, and Sri Lanka).³⁵ The TA aims to expand the uptake of supply chain finance in these countries.

38. The Trade and Supply Chain Finance Program commenced operations in Bhutan in 2011, with limits for the Bhutan National Bank Limited, Bank of Bhutan Limited, and Druk PNB Bank Limited. During 2011–2016, 6 transactions valued at \$5.3 million (ADB's commitment was \$2.1 million, with the rest being provided by private sector counterparties) with Bhutan National Bank Limited were supported. Due to low utilization levels and subsequently due to COVID-19 related moratoriums, lines were put on hold. The Trade and Supply Chain Finance Program plans to re-engage with the Bank of Bhutan and Bhutan National Bank once the ongoing COVID-19 moratorium on lending is lifted. Currently, the two banks have a high ratio of loans under moratorium and further clarity is required on asset quality ahead of engagement.

39. No new private sector investment materialized during this CPS period due to the small size of Bhutan's market and private sector, high cost of doing business, and the adverse impact of the pandemic. However, ADB's sovereign support for power, road connectivity, township development, trade facilitation, skills development, policy reforms to modernize the financial sector and tax system, and support for PPP indirectly enabled private sector development in Bhutan.

40. **Public-private partnerships.** Between 2017–2019, the OMDP provided capacity building support to the newly formed PPP Unit under MOF and other agencies involved in PPPs. As part of ADB's Asia Pacific Project Preparation Facility, OMDP assisted the government's PPP unit in preparing the PPP guidelines based on best practice (including a fiscal risk management system and viability gap funding) and a PPP project screening manual. It organized capacity building workshops, training, and study tours for government officials. OMDP assisted the government in preparing a prefeasibility study for the Thimphu Bus Terminal pilot PPP project in 2019. The project is awaiting cabinet approval to proceed to project preparation. As an example of downstream support, ADB supported the first infrastructure PPP project in Bhutan—the 126-megawatt run-of-river Dagachhu hydroelectric power plant. It was developed through a joint venture between Druk Green Power Corporation Limited in Bhutan and Tata Power Company in India as the first PPP in the Bhutanese power sector and was also the world's first cross-border project to earn Certified Emission Reduction credits under the Clean Development Mechanism defined in the Kyoto Protocol. The plant was commissioned in March 2015.

³⁴ ADB. 2015. [*FAST Report: Equity Investment in Mountain Hazelnuts Group Limited for Hazelnut Value Chain Development Project in Bhutan*](#). Manila.

³⁵ ADB. 2021. [*Technical Assistance to Bhutan for Supply Chain Finance Capacity Development to Support Small and Medium-Sized Enterprises*](#). Manila.

41. Unfortunately, with the outbreak of the pandemic in early 2020, the PPP work lost momentum. BHRM has been coordinating closely with OMDP and PSOD to find suitable entry points. OMDP and PSOD staff joined discussions with the Government of Bhutan ministers and senior civil servants during the virtual Board group visit to Bhutan (24 to 27 March 2022) and the country programming missions in 2022 and 2023. In March 2023, an OMDP mission visited Thimphu and met with all relevant ministries. Support has been offered in terms of PPP experts covering technical, financial, and legal aspects who will work with MOF and other line ministries to increase their capacity to identify, prepare, and implement PPP projects. OMDP will prepare a PPP road map to provide inputs for the next CPS and assist in exploring the scope for PPPs in solar power, urban waste management, and health care diagnostics. This upstream work should open downstream opportunities for private sector operations under the new CPS.

(ii) Pillar II: Improved Connectivity for Better Access to Information and Markets

42. Pillar II aimed to (i) improve transport connectivity to reduce spatial disparities, (ii) strengthen RCI, and (iii) connect farmers to regional and global value chains. ADB expected Bhutan to invest in climate-resilient air and land networks and take advantage of the SASEC program to improve access and mobility of goods and services across international borders. The objective of Pillar II involved investments in transport and agriculture, natural resources, and rural development sectors. The pillar is assessed *relevant* for Bhutan's development priorities and supported by investments in transport; agriculture, natural resources, and rural development; and energy sectors. Overall, the transport sector investments, trade and transit improvements, and power trade agreement with India contributed to the achievement of the pillar's objectives.

43. **Transport.** The review assessed ADB's support for Bhutan's transport sector *relevant*. ADB's support is aligned with the government's 12th Plan NKRA 9: Infrastructure, communication, and public service which emphasizes ensuring all-weather road network including blacktopping of remaining *gewog* connectivity roads (small district roads) and exploring alternative transport modes such as electric vehicles, ropeways, and cycling paths. The review period covered five ADB-supported transport sector projects that were financed by three loans, three grants, and two knowledge and support TA projects. These include one air and four land transport projects, two of which are directly relevant to improving regional integration and cooperation. The additional financing for the Air Transport Connectivity and Enhancement Project (along with the original project and the outputs of the knowledge and support TA for Strengthening Air Transport Regulatory and Operational Performance) has been supporting the government's plans to develop a safe, reliable, and efficient air transport system connecting urban and rural centers to help overcome the limitations of road transport, improve accessibility, and promote tourism and high-value agriculture in less-developed regions of the country.³⁶ The additional financing was vital for improving connectivity within the country. The project design was also appropriate to achieve the intended outcome. Similarly, the rationale for the Enhancing Aviation Sector Development Capacity TA project was relevant and aligned with Bhutan's development needs.

44. The Urban Infrastructure Project supported the government's effort in the two largest cities (Phuentsholing and Thimphu) and two emerging municipalities (Samdrup Jongkhar and Nganglam) to improve urban mobility and infrastructure.³⁷ The significant increase in urbanization calls for improved mobility. Hence, the project was rightly positioned to address urban growth

³⁶ ADB. 2016. [Report and Recommendation of the President to the Board of Directors: Proposed Grant for Additional Financing to the Kingdom of Bhutan for the Air Transport Connectivity Enhancement Project](#). Manila.

³⁷ ADB. 2011. [Report and Recommendation of the President to the Board of Directors: Proposed Loan to the Kingdom of Bhutan for the Urban Infrastructure Project](#). Manila.

challenges and improvements in urban quality of life, including walkability. Similarly, the Thimphu Road Improvement Project was designed to improve mobility of residents in the capital city, Thimphu.³⁸ The project design covered improvements of essential urban roads and the construction of drainage and pedestrian infrastructure. It helped to strengthen the capacity of the Thimphu Thromde for undertaking crucial road asset management. The PCR rated the project *relevant* based on the project's alignment with ADB and government policy, strategy, and the Thimphu Structure Plan 2002–2027. The savings from the grant for the project enabled the government to construct additional road infrastructure.

45. The other two transport projects were deemed *relevant* from the RCI perspective. The SASEC Road Connectivity Project was designed to enable border crossing between Bhutan and India and reduce travel time between Nganglam and Dewathang by 80% and construct a 1.2-kilometer (km) access road between Bhutan's border with India and Pasakha industrial estate by 90%.³⁹ The project planned to build a 2.7-km road access to the national highway to facilitate border crossing stations in Phuentsholing. However, due to the deteriorating security situation across the international border, the Nganglam–Dewathang highway was deferred for years and finally cancelled. Likewise, the SASEC Transport, Trade Facilitation, and Logistics Project is designed to promote regional connectivity in Phuentsholing area with a direct road connection between Samtse and Chhukha districts.⁴⁰ The project is building a new road section between Phuentsholing and Chamkuna along the Phuentsholing–Samtse national highway, activating the entire 58-km Southern East–West Highway section for road users, and linking Samtse district to the rest of the country. The trade facilitation and logistics component is helping to improve infrastructure and services at the border crossing points by providing additional equipment to facilitate cross-border traffic and transit of goods and services, trade, and commerce nationwide. Two knowledge and support TA projects (at \$2 million each) were provided to build the capacity of Bhutan's aviation sector and prepare a master plan for national highway connectivity.⁴¹

46. Road construction is a challenge in Bhutan owing to (i) the fragile hilly terrain, (ii) the high risk of landslides especially during monsoons, (iii) neglect of slope stabilization work and lack of systematic maintenance, and (iv) the overloading of trucks. Proper road signage and safety facilities are largely lacking. In the aviation subsector, it has been a challenge to find a suitable plain area to build a second international airport. Hence, Bhutan continues to depend entirely on Paro International Airport. If it is damaged by an earthquake or other disaster triggered by natural hazards, it will be very difficult to airlift supplies and provide effective emergency help.

47. **Agriculture, natural resources, and rural development.** The review assessed ADB's support to Bhutan's agriculture and natural resources sector *relevant*. The CPS design envisaged that ADB's support to the sector would help to connect Bhutan's farmers to markets and regional and global value chains based on improved feeder and rural roads, increasing agricultural productivity and helping ensure food security. ADB supported a capacity development TA for Enhancing the Competitiveness of High-Value Agriculture and Artisan Products Value Chain to strengthen marketing links for farmers. Under the 12th Five-Year Plan, the government decided to do farm or rural roads on its own using local government funds and volunteers and not avail of

³⁸ ADB. 2022. [Completion Report: Thimphu Road Improvement Project in Bhutan](#). Manila.

³⁹ ADB. 2014. [Report and Recommendation of the President to the Board of Directors: Proposed Loan and Grant to the Kingdom of Bhutan for the South Asia Subregional Economic Cooperation Road Connectivity Project](#). Manila.

⁴⁰ ADB. 2016. [Report and Recommendation of the President to the Board of Directors: Proposed Loan and Grant to the Kingdom of Bhutan for the South Asia Subregional Economic Cooperation Transport, Trade Facilitation, and Logistics Project](#). Manila.

⁴¹ ADB. 2019. [Technical Assistance to Bhutan for Enhancing Aviation Sector Development Capacity](#). Manila; and ADB. 2022. [Technical Assistance to Bhutan for the Master Plan for National Highways Connectivity](#). Manila.

support from agencies such as ADB. However, the local governments lack the financing and technical capacity for these works. Hence, road connectivity for the rural population remains poor.

48. The government has largely relied on development partners such as the Food and Agriculture Organization, International Fund for Agricultural Development, and World Food Programme for grant and technical assistance in the agriculture sector (focusing on food security and nutrition, agricultural practices, and agribusiness value chains). With Bhutan graduating out of LDC status at the end 2023, these agencies will progressively reduce their grant operations and staff presence in Bhutan. This is likely to open more opportunities for ADB to support direct agriculture operations. The CPSFR mission noted the Ministry of Agriculture and Livestock's interest in engaging with ADB in the development of export-oriented niche agricultural commodities, digital agriculture, and irrigation facilities.

49. ADB has supported river training work and flood protection under the Phuentsholing Township Development Project (PTDP) which was approved in 2018. Irrigation and water resource management components are included under the Water Flagship Program Support Project, which was approved in December 2022. This project complements government investments under the national Water Flagship Program and demonstrates model interventions to improve climate change resilience and water sector performance in line with the national integrated water resources management plan. It will promote integrated interventions to strengthen communities' resilience to climate and disaster risks and improve project sustainability. These will include (i) disaster and climate risk analysis, adaptation, and financing solutions through ADF 13 thematic pool grants, including buried piped transmission (instead of canals) and reinforced civil structures to improve irrigation systems' resilience to geophysical risks, and a climate-smart water management system to integrate climate information and smart water infrastructure devices for effective climate adaptation; (ii) service-level sustainability plans and water safety plans to improve service safety and sustainability; (iii) capacity building of local institutions and communities focusing on women and the poor for sustainable and resilient water management; and (iv) promoting improved understanding of successful PPP mechanisms for service delivery. This approach for improved resilience supported under ADF 13 can be replicated in future water projects in Bhutan.

50. **Energy.** The review assessed ADB's support to the energy sector *relevant*. During the review period, ADB's support has focused on the renewable energy subsector. The energy portfolio contained three projects: (i) Second Green Power Development Project, (ii) Alternative Renewable Energy Pilot Project, and (iii) Renewable Energy for Climate Resilience Project.⁴² ADB also approved transaction TA for the SASEC Green Power Investment Program and two transaction TA projects for preparing the SASEC Green Power Investment Program and the Renewable Energy for Climate Resilience, and a knowledge and support TA for Promoting Energy Security and Transition Project. ADB's support has been aligned with the government's 12th Five-Year Plan NKRA 2: economic diversification, which seeks to diversify into allied hydropower industries and secure energy security for economic growth. The government is keen to reduce energy imports during winter when hydropower production goes down sharply by expanding investment in solar power. It also aims to explore the scope of exporting power to Bangladesh in addition to India. The CPSFR team understands that foreign direct investment in land and water

⁴² ADB. 2014. [*Report and Recommendation of the President to the Board of Directors: Proposed Loans, Grant, and Technical Assistance to Tangsibji Hydro Energy Limited for the Second Green Power Development Project in the Kingdom of Bhutan*](#). Manila; ADB. 2020. [*Grant Assistance Report; Proposed Administration of Grant to the Kingdom of Bhutan for the Alternative Renewable Energy Pilot Project*](#). Manila; and ADB. 2022. [*Report and Recommendation of the President to the Board of Directors: Proposed Loan and Grant to the Kingdom of Bhutan for the Renewable Energy for Climate Resilience Project*](#). Manila.

resources is not permissible due to restrictions stipulated in Bhutan's Constitution. However, the government is keen to explore PPPs in solar power and micro-hydro projects, and hence, may consider interpreting some of these Constitutional provisions based on its emerging needs.

(iii) Pillar III: Greater Inclusiveness through More Equitable Socioeconomic Development

51. Pillar III of the CPS aims to support the government in strengthening skills and generating economic opportunities for vulnerable groups including young entrepreneurs, women, youth entering the job market, and the rural and urban poor. It envisaged building smart, green, and livable cities, and promoting human development and gender equality. Water and other urban infrastructure and services, education, and health sectors are of direct relevance to Pillar III. The COVID-19 pandemic has been a prolonged challenge and the government's focus had to be redirected to response and recovery efforts. Overall, Pillar III of the CPS remains relevant.

52. **Water and other urban infrastructure and services.** ADB's support to the water and other urban infrastructure and services sector is assessed *relevant*. This is based on its alignment with ADB's Strategy 2030 and the government's 12th Plan NKRA 17 on sustainable water and NKRA 15 on sustainable human settlements. During the review period, the ADB portfolio included three projects of \$95 million: (i) Secondary Towns Urban Development Project, (ii) PTDP, and (iii) Green and Resilient Affordable Housing Sector Project (GRAHSP) and an attached transaction TA of \$1.0 million for Supporting the GRAHSP. The CPS recognized the impact of rapid urbanization and the challenges the government faced in providing urban services such as water supply, sanitation, and other basic amenities. ADB committed to improve the livability of cities, safety, and sustainability of urban areas by improving physical amenities and infrastructure such as roads, footpaths, drainage, drinking water, housing, and public transport. It proposed to help the government develop proper settlement plans, improve waste and pollution management systems, and implement green and efficient transportation and road safety. The approved projects align well with ADB's strategic thrust and the government's current and emerging priorities.

53. ADB will add value through the GRAHSP by enhancing the institutional capacity of the National Housing Development Corporation Limited (NHDCL) to (i) implement innovative affordable housing designs that incorporate gender-inclusive features; anti-seismic building structures; pre-engineered building construction methodology, which is versatile and reduces construction time; and resource efficiency, making the housing design greener and more resilient (necessary for green building certification); (ii) support low-income households in accessing affordable rental housing through better targeted NHDCL units and more publicly available information on tenancy data; and (iii) establish a detailed registry for NHDCL's housing asset management for improved efficiency in maintenance programs. ADB will add value by updating the national building code and improved land management; incorporating climate change, disaster risk reduction, gender inclusiveness, and energy efficiency considerations; and encouraging the use of greener construction techniques to achieve green building certification. The GRAHSP includes a grant of \$6 million from the ADF 13 thematic pool grant, which will support incremental costs associated with geophysical hazards and capacity building, and enable NHDCL to introduce gender-sensitive features in support of Sustainable Development Goal 5.

54. **Education.** The CPSFR assessed ADB's support to the education sector as *relevant*. It approved a grant of \$15.0 million in 2018 for the Skills Training and Education Pathways

Upgradation Project.⁴³ Two transaction TA projects of \$1.19 million were approved for (i) Preparing Education and Skills Development Project, subsequently renamed as Supporting Skills Training and Education Pathways Upgradation Project, and (ii) Support to Skills Development Reform. The approval of the skills project was in line with the CPS plan for ADB to help students gain better access to skills development equipped with market-driven capabilities. Investment in TVET has been a high priority under the 12th Five-Year Plan NKRA 7: quality education and skills and NKRA 11: productive and gainful employment. The government's TVET reform strategic plan was approved in 2021. Given the high youth unemployment rate during and after the pandemic, the relevance remains high. ADB supported massive open online courses during the pandemic. A training program for supporting persons with disabilities by engaging private training providers was funded. TVET was introduced as an optional subject in general education for the first time in Bhutan. ADB promoted science, technology, engineering, and mathematics; and TVET for secondary schools through randomized controlled trials using impact evaluation TA funding.

55. A new Ministry of Education and Skills Development was established on 30 December 2022 by merging the Ministry of Education and the Department of Workforce Planning and Skills Development of the erstwhile Ministry of Labor and Human Resources. It will be the executing agency for the proposed \$30 million Pathways for Emerging Skills and Jobs Project which was approved in August 2023.

56. **Health.** The CPSFR assessed ADB's support to the health sector as *relevant*. ADB approved (i) the Health Sector Development Program, (ii) the COVID-19 Emergency Response, and (iii) the Responsive COVID-19 Vaccines for Recovery Project under the Asia Pacific Vaccine Access Facility. A \$0.5 million transaction TA was used to design the Health Sector Development Program. ADB's support for addressing COVID-19-related challenges was useful and timely. The CPS had envisioned that ADB will reinforce the government's efforts to improve the equity, efficiency, and financial sustainability of the health care system to reduce remaining poverty and inequality. ADB planned to help in delivering demand-driven training courses for health workers, improving access to health services with a focus on remote and far-flung areas, supporting institutional strengthening and sustainability of the Bhutan Health Trust Fund (BHTF), and strengthening the health information system for improved service delivery including patient records management, disease surveillance, and interoperability of data. The CPS's focus on health support was fully aligned with the government's 12th Five-Year Plan NKRA 3: reducing poverty and inequality and NKRA 14: healthy and caring society.

57. The HSDP has observed consistent cost escalations in its civil works packages. These can be attributed partly to the shortage of basic building materials during the pandemic due to the lockdowns and travel restrictions, and inefficient procurement methods. For example, the rehabilitation of primary health care centers in remote rural areas was bundled into a single civil works package to qualify for national competitive bidding. Instead, it would have been better if such works had been divided into smaller packages for requests for quotations. ADB needs to prioritize simplicity of execution when determining the best suited procurement methods, particularly for civil works packages in health sector projects.

(iv) Thematic Areas

58. **Gender equality.** ADB's support for gender equality is assessed *relevant*. Gender equality has been a cross-cutting theme of ADB's Bhutan operations, and it supports CPS Pillar III

⁴³ ADB. 2018. [Report and Recommendation of the President: Proposed Grant to the Kingdom of Bhutan for the Skills Training and Education Pathways Upgradation Project](#). Manila.

objective of gender equality and inclusiveness. Appropriate performance indicators (identified based on due diligence social and gender analyses during project design) have been integrated into the design and monitoring frameworks of all relevant projects. Gender action plans (GAPs) have been prepared for all projects based on stakeholder consultations. The progress of GAP implementation is monitored and reported regularly. Of the 23 loans and grants approved by ADB for Bhutan from 2019 to 2022, 12 (55%) had significant gender equality features; 1 project (Rural Finance Development Project) was categorized *gender equity* and 11 projects were categorized *effective gender mainstreaming*. The 11 effective gender mainstreaming-categorized projects were in the seven sectors: energy (2); health (2); public sector management (2); water, urban, and sanitation (2); agriculture and natural resources (1); education (1); and transport (1). There are eight projects categorized *some gender elements* (with gender features in less than 50% of each project's outputs), and two are categorized *no gender element*. In all, 91% of the projects had gender equality features, which include facilitating women's participation in and benefit from project activities. ADB's support is consistent with the government's 12th Plan NKRA 10 (Gender Equality): Promoting gender equality and empowering women and girls. ADB has worked with and helped to build the capacity of the National Commission of Women and Children. The focus on gender equality in the CPS is in line with the government's National Equality Policy 2020.⁴⁴

59. **Regional cooperation and integration.** ADB's support for RCI has been *relevant*. Given its landlocked status, Bhutan stands to benefit immensely from stronger RCI initiatives. Two ongoing SASEC transport projects have helped to improve cross-border connectivity with India, streamlined customs and trade processes, and reduced the turnaround time for trucks entering and exiting Bhutan with goods. Bhutan has benefitted from the RCI knowledge work and cross-learning from the South Asian countries.

60. **Knowledge and capacity building.** The review assessed ADB's support for knowledge and capacity building *relevant*. Appendix 2 of the CPS outlined a knowledge plan for Bhutan. It recognized the need for policy advice and capacity building to achieve timely and effective reforms and project implementation. The scope of the knowledge plan was aligned with the three pillars of the CPS, and it expected value addition through different channels supported by One ADB and integrated approaches. The summary knowledge support during 2019–2023 outlined clear linkages between knowledge work and ADB Strategy 2030 operational priorities.

61. There is close alignment between the CPS knowledge plan and the government's 12th Plan NKRA. Under Pillar I, knowledge work was planned to provide policy-based support for a resilient and diversified economy, with a focus on energy, transport, and water and other urban infrastructure and services sectors; and promoting private sector development opportunities. Similarly, under Pillar II, the knowledge focus was on improved transport connectivity, improved access to RCI, and connecting farmers to markets and regional and global value chains. Under Pillar III, the plan envisaged green and livable cities, skills development, health sector development, gender equality, and improved transport connectivity. These areas were relevant during the review period and are likely to remain so under the next CPS. The list of knowledge products and knowledge events organized during the review period is in Appendixes 7 and 8.

62. **Climate change and disaster resilience.** ADB's support for climate change and disaster resilience was *relevant*. The CPS focus is aligned with the government's Nationally Determined

⁴⁴ Government of Bhutan, National Commission for Women and Children. 2020. *National Gender Equality Policy 2020*, Thimphu.

Contributions⁴⁵ and 12th Plan NKRA 6: Carbon neutrality, climate, and disaster resilience which calls for mainstreaming the environment in all sector and local government plans, managing waste as a national flagship program, exploring eco-friendly public transport systems, enhancing mitigation and adaptation to climate change, and strengthening preparedness and response to both natural and man-made disasters.

63. ADB's portfolio of loans and grants during the review period included \$187.66 million in climate finance for 12 active projects, accounting for 32.4% of total approval amount (Appendix 2). About 71% of climate finance was for mitigation and the remaining 29% for adaptation. These 12 projects represent agriculture, energy, education, finance, transport, and water and other urban infrastructure and services sectors, of which five have closed during the review period. Some recent examples include the Water Flagship Program Support Project (approved December 2022), which will establish a climate-smart water management system and provide safe and sustainable drinking water and irrigation services, adopting disaster- and climate-resilient designs and improving institutional and local communities' capacity for sustainable drinking water and irrigation services. The Renewable Energy for Climate Resilience Project (a 100% climate adaptation project approved in October 2022) will construct Bhutan's first utility-scale alternative renewable power plant, as a first step to diversify the generation portfolio of Bhutan's energy sector, creating system change and building resilience against adverse climate change impacts on the power sector. While there is growing awareness within the government about the need to climate proof infrastructure projects, there is reluctance at times to allocate adequate funds for suitable mitigation measures and O&M of the assets. Given Bhutan's fragile ecosystem and high risk of landslides, ADB should continue to emphasize geotechnical studies and stabilization measures in its projects to ensure resilience and sustainability.

4. Quality of Country Partnership Strategy Results Framework

64. The quality of the CPS results framework was sound and included 14 well-defined outcome indicators associated with the three pillars. Each of the three pillars had a set of priority areas linked to ADB's Strategy 2030 and relevant operational priorities and outcome indicators. These indicators are deemed specific, measurable, achievable, relevant, and time-bound with baseline and target values. The indicators had implications for sector focus. For example, the first pillar focused on energy, finance, PPP, and procurement efficiency. Likewise, the second pillar aimed at transport, food security, digital connectivity, trade facilitation, and RCI. Similarly, the third pillar covered access to safe drinking water, TVET education, health services, and gender mainstreaming. The project-level achievements and progress in thematic areas were expected to support the CPS results. The CPS also benefitted from the recommendations of the validation report of the CPSFR for 2014–2018.⁴⁶

B. Effectiveness

65. The CPSFR assessed ADB's support to Bhutan during the review period *effective*. The assessment is based on the achievement of results framework targets and sector-level assessments. The GAPS have been successfully implemented, and the projects have complied with safeguards requirements. ADB support has contributed to increased regional cooperation and integration. The operational environment has been challenging due to the prolonged impact

⁴⁵ United Nations Framework Convention on Climate Change. 2021. [Kingdom of Bhutan: Second Nationally Determined Contribution](#).

⁴⁶ Independent Evaluation Department. 2019. *Validation Report: Validation of the Country Partnership Strategy Final Review, 2014–2018 for Bhutan*. Manila: ADB.

of COVID-19. Despite this, most outcomes and output targets expected in the CPS document are on track and are likely to be achieved. Following delays in implementation during the pandemic, the performance of most projects has picked up since COVID-19-related restrictions were lifted in late 2022. The review recognizes that continued efforts are needed to further strengthen the cross-thematic areas, including private sector development.

1. Achievement of the Results Framework Targets

66. The achievements against the CPS results framework targets suggest that the CPS has been *less than effective* because of the adverse impact of the COVID-19 pandemic and weak implementation capacity of the executing and implementing agencies. The CPS design had 14 targets (5 in Pillar I, 5 in Pillar II, and 4 in Pillar III), of which 3 have been achieved, 3 are on track, and 5 are falling behind (Appendix 9). For three targets, no data are available as of now. Some of the targets are likely to have updated data available in the latter part of 2023.⁴⁷ All sovereign projects with climate financing were perceived as low risk. Similarly, climate change impact was expected to be high for two projects, modest for two cases, and low for the remaining eight projects. ADB support for gender equality results has been satisfactory as demonstrated by successful implementation of GAPS and the contribution of different projects to ADB's Operational Priority 2. This is affirmed by satisfactory development impact on gender equality (para. 116).

2. Sector and Project Level Effectiveness

67. The CPSFR rates Bhutan's portfolio performance *effective*. This is based on the assessment of completed projects and the likelihood that the outputs and outcomes of ongoing operations, as captured in current performance ratings and available data, will be achieved. ADB prepared seven PCRs during the review period of which, three were assessed *highly effective* and four *effective* (Appendix 4). Of these seven PCRs, IED validated five, with four being rated *effective* (80%) and one *less than effective* (20%). ADB prepared TCRs for nine TA projects, with five being rated *effective* and two *highly effective*. IED validated two TCRs as *effective*, consistent with the TCR ratings (Appendix 4). The overall sector ratings are based on completed projects and the progress of ongoing operations.

68. **Agriculture, natural resources, and rural development.** The CPSFR assesses ADB's support for the agriculture and natural resources sector *effective*. No loan or grant project in the sector was completed during the review period. The implementation of the PTDP is on track. The project's output 1, flood and erosion protection measures, has been completed. The 4 km river protection walls and backfilling works have been completed as of November 2022. The flood early warning system desk work was initiated by the National Center for Hydrology and Meteorology. The installation works are expected to be completed by the first quarter of 2024.⁴⁸ The Water Flagship Program Support Project was approved in December 2022. Since it is at an early stage of implementation, its effectiveness cannot be assessed yet. ADB completed two TA projects in the sector during the review period with one assessed *highly effective* and the other, *less than effective* in the TCRs. IED confirmed the TCR rating of the Enhancing Competitiveness of High-

⁴⁷ At the time of the review, information on (i) energy auditing and reporting guidelines; (ii) criteria for maintaining a list of quality vendors, contractors, and consultants, and (iii) inclusive digital index (Pillar I) were not available. The credit to micro and CSI enterprises as a percentage of total credit declined from 15.8% in 2018 to 12.4% in June 2022. The data for the growth rate of non-hydropower industries' revenue is not available publicly. The updates on the World Economic Forum's Enabling Trade Index were also not available. While the CPS envisaged at least two new PPP infrastructure contracts during 2019–2023 (baseline: 3 projects), this has not materialized so far.

⁴⁸ ADB. 2018. [Report and Recommendation of the President to the Board of Directors: Proposed Loan and Grant to the Kingdom of Bhutan for the Phuentsholing Township Development Project](#). Manila.

Value Agriculture and Artisan Products Value Chain Project as *highly effective*. The institutional development in the sector through these TA projects is assessed *effective*. The TA for the Enhancing Competitiveness of High-Value Agriculture and Artisan Products Value Chain Project strengthened the capacity of 58 CSIs.⁴⁹ The TA on Improving Market Linkages for CSIs is supporting CSIs in standardizing their products and packaging, and strengthening certification systems for export items.⁵⁰

69. **Education.** The CPSFR rates ADB's support for the education sector *effective*. The education portfolio consists of one project grant for the Skills Training and Education Pathways Upgradation Project (approved in 2018 and due for completion in 2024). The project outcome is to improve the employability of TVET and secondary school graduates. The progress to date has been satisfactory. According to the 2022 National Human Resources Development Advisory: Establishment and Employee Survey Report, 78.1% of the TVET graduates were very well prepared or well prepared and employers were satisfied with the graduates.⁵¹ The achievement far exceeds the envisaged target of 60.0%. The latest tracer study conducted by the government showed that 71% of the TVET graduates got jobs within 6 months of graduation. However, according to the 2023 TVET Convocation Multi-Cohort Survey Report, 94% of male graduates from the 2016–2020 cohort were employed versus only 81% of female graduates, reflecting inequalities in the wider labor market.⁵² The education sector received two transaction TA projects, both of which culminated in loans. The TA projects in the sector are considered *effective*. Institutional development in the sector is assessed *effective* based on the ongoing support being provided to TVET agencies to improve governance and strengthen design and implementation of training programs.⁵³

70. **Energy.** ADB's support for the energy sector was *effective*. ADB completed the Rural Renewable Energy Development Project in April 2019.⁵⁴ The PCR and project completion report validation report (PVR) rated the project performance as *effective* as it has achieved its stated outputs. Three energy projects are due for completion during 2024–2026. The progress of the Second Green Power Development Project is *satisfactory*. The construction is nearing completion (99%), and the remaining activities are likely to be completed before the extended period of June 2024. The construction works were delayed due to poor rock quality at the headrace tunnel site. The civil and mechanical works also encountered difficulties in mobilizing the skilled and unskilled workforce from India during COVID-19. Subsequently, some Bhutanese workers were mobilized. ADB expects that all remaining ADB-supported works and testing of the hydropower plant will be completed by December 2023. ADB approved a grant for the Alternative Renewable Energy Pilot Project in October 2020. It became effective in January 2021. Initially, the progress was slow due to COVID-19, which delayed the mobilization of experts and site surveys. Progress has picked up. The contract for installing solar panels in three remote districts (Dagana, Pemagatshel and Lhuntse) will be awarded in November 2023. This will benefit 300 poor households in rural villages. The project is expected to be completed by December 2024. Similarly, the Renewable Energy for Climate Resilience Project was approved in October 2022 and became effective in

⁴⁹ Independent Evaluation Department. 2022. [TCR Validation Report: Enhancing Competitiveness of High-Value Agriculture and Artisan Products Value Chains in Bhutan](#). Manila.

⁵⁰ ADB. 2020. [Technical Assistance Report. Kingdom of Bhutan: Improving Market Linkages for Cottage and Small Industries](#). Manila.

⁵¹ Ministry of Labour and Human Resources. 2022. *2022 National HRD Advisory: Establishment Survey and Employee Survey Report*. Thimphu.

⁵² Ministry of Education and Skills Development. 2023. [TVET Convocation 2023: Multi-Cohort Tracer Study](#). Thimphu.

⁵³ This covers the establishment of management information system including enhancing online program administration for technical training institutes.

⁵⁴ ADB, 2020. [Completion Report: Rural Renewable Energy Development Project in Bhutan](#). Manila

November 2022. The main contract for installing the solar panel for generating 17.38 MW of power was signed in June 2023. The installation and commissioning of the plant is expected to be completed within the closing date of June 2026. Since the project is at a very early stage of implementation, it is premature to assess its effectiveness at the time of this review.

71. ADB completed two TA projects during the review period, one rated *effective* and the other assessed *less than effective*. The transaction TA for SASEC Green Power Investment Program was rated *less than effective* since it did not result in a loan. This was mainly because the government decided against proceeding with the project. Two transaction TA projects are under implementation, and both are supporting the design of solar energy projects. They are likely to be effective with the delivery of the intended investment projects.

72. **Finance.** ADB's support to the finance sector was *effective*. ADB prepared two PCRs and one TCR. The combined PCR for three projects under the Financial Market Development Program, (subprojects 1, 2, and 3) assessed the overall performance as *effective*. The TCR rated the TA for the Diagnostic Study and Strategy Development for Rural Finance Sector Development as *effective*. IED confirmed the PCR's rating in the validation report. Owing to significant financial sector policy reforms, the institutional development in the sector has been effective.

73. Based on its latest validated project performance rating, the ongoing Rural Finance Development Project is on track in its progress in achieving project outputs.⁵⁵ At the time of the CPSFR review, the mission learned that the government is considering merging the CSI Bank with the Bhutan Development Bank to reduce duplication and streamline finance access for CSIs. The work is still in progress, and irrespective of the outcome of the exercise, the project is expected to enhance access to finance in rural areas.

74. **Health and coronavirus disease response.** ADB's support for Bhutan's health sector is assessed *effective*. The PVR for the CARES Program rated the program *effective*. It supported the government's efforts to mitigate the adverse effects of the pandemic by strengthening disease surveillance and treatment systems, and targeting the poor and the vulnerable.⁵⁶ The program focused on two reform areas: (i) inclusive social relief measures for vulnerable groups—economically displaced employees, unemployed people actively seeking employment, and self-employed individuals in the informal sector, most of whom are women—implemented; and (ii) economic stimulus for productive sectors provided. At completion, the program exceeded its overall targets. A total of 95,647 people against the target of 80,000 received various types of support from the National Resilience Fund. This included social relief grants for 48,902 adults and 15,989 children; skilling and employment support for 14,129 individuals; and loan deferments and interest waivers to 18,887 mainly poor and near-poor micro account holders. Around 86% of cottage and small industries (target 70%) which received economic stimulus in the form of interest subsidies were still operational at program completion.⁵⁷

75. The HSDP is on track to achieve all its objectives. ADB's support helped in digitalizing Bhutan's health information, designing the electronic patient information system, and strengthening financial sustainability of the BHTF through a program grant of \$ 10 million. Under the loan component, three satellite clinics have been constructed in Thimphu and one in Phuentsholing to reduce pressure on the tertiary hospitals. Primary health care facilities have

⁵⁵ The overall project performance rating as of second quarter of 2023 is *on track* with 81% disbursement.

⁵⁶ ADB. 2020. [Completion Report. COVID-19 Active Response and Expenditure Support Program in Bhutan](#). Manila.

⁵⁷ ADB. 2020. [Completion Report. COVID-19 Active Response and Expenditure Support Program in Bhutan](#). Manila; and Independent Evaluation Department. 2023. [Validation Report: COVID-19 Active Response and Expenditure Support Program in Bhutan](#). Manila: ADB.

been upgraded in six eastern districts and equipped with medical equipment to improve access to quality health services. The grant and the transactional TA also supported in building the capacity of health workers at different levels. The \$10 million Responsive COVID-19 Vaccines for Recovery Project⁵⁸ under the Asia Pacific Vaccine Access Facility was approved in July 2022.⁵⁹ Soon after loan effectivity, \$3 million was disbursed for retroactive financing of Pfizer vaccines. Since the pandemic came under control by mid-2022, the government requested ADB to reprogram the remaining rapid response component loan of \$ 6.98 million to procure critical medical equipment for some hospitals. ADB's overall support to Bhutan's health sector institutional development has been effective.

76. **Public sector management.** ADB's support for strengthening Bhutan's public sector management is assessed *effective*. All the policy actions for the Fiscal Sustainability and Green Recovery Program (subprogram 1) were met on time. This subprogram was closed in December 2022. The implementation of the reforms will determine the effectiveness of the subprogram. ADB's knowledge and support TA for Strengthening Policy Formulation and Implementation is expected to be effective. The TA produced a special report titled *Overcoming COVID-19 in Bhutan: Lessons from Coping with the Pandemic in a Tourism-Dependent Economy*.⁶⁰ Under the TA, ADB organized training on different topics for different government agencies. These include training on upgrading the erstwhile static debt management system to a modern cloud-based Commonwealth Meridian system for the Royal Monetary Authority, labor force surveys and sampling design for the National Statistical Bureau, effective project administration and gender mainstreaming for project counterparts, tax administration and diagnostic assessment tools assessment workshops for the Department of Revenue and Customs, and stakeholder consultations for the revision of Alternate Renewable Energy Policy.

77. **Transport.** The CPSFR assesses ADB's support for the transport sector *effective*. The sector has three completed projects with two PVRs and one PCR awaiting validation. Another project is completed but has no PCR yet. One project is ongoing. Both projects are likely to be rated *effective*. The PCR for the Road Network Project II assessed the project *effective*.⁶¹ The rating was confirmed by IED.⁶² The PCR of the Thimphu Road Improvement Project rated it *effective*.⁶³ The SASEC Transport and Trade Facilitation and Logistics Project helped to connect Samtse and Chhukha districts by the 6.8 km Phuentsholing–Amochhu Bridge Road and Chhukha and Dagana districts by the 31 km Pasakha–Manitar Road. The TCRs for (i) Strengthening Air Transport Regulatory and Operational Performance and (ii) Capacity Building of the Department of Roads assessed these TA projects *effective*.⁶⁴

78. The transport portfolio has five projects. Two of the three projects attained their completion at the end of 2022. The SASEC Road Connectivity Project became effective in September 2014

⁵⁸ The project will reimburse the purchase of COVID-19 vaccines. It is supported by an investment component under a Japan Fund for Prosperous and Resilient Asia and the Pacific (\$3 million) grant to improve access to primary health care services and vaccination in remote areas through the purchase and deployment of mobile medical unit vehicles. The grant also supports the government by providing medical and laboratory equipment and supplies.

⁵⁹ The project performance rating noted that the target of vaccine procurement will not be achieved due to the provision of other donors.

⁶⁰ ADB. 2021. *Overcoming from COVID-19 in Bhutan: Lessons from Coping with Pandemic-Dependent Economy*, Manila.

⁶¹ ADB. 2019. [Completion Report: Road Network Project II in Bhutan](#). Manila.

⁶² Independent Evaluation Department. 2020. *Validation Report: Road Network Project II in Bhutan*. Manila: ADB.

⁶³ ADB. 2022. [Completion Report: Thimphu Road Improvement Project in Bhutan](#). Manila.

⁶⁴ ADB. 2019. [Completion Report: Strengthening Air Transport Regulatory and Operational Performance in Bhutan](#). Manila.

but was extended from its original completion in December 2019 to December 2022.⁶⁵ The mini dry port in Phuentsholing was completed in February 2019 and the Alay Land Custom Station (ALCS) became operational in March 2022. A 2.7 km northern bypass road to Phuentsholing City was completed in March 2021 and has helped in reducing traffic congestion in the city. A 1.2 km access road (including a culvert and bridge) between the Pasakha Industrial Estate and ALCS was completed in June 2019. Unfortunately, due to the fragility of the nearby hills, there are heavy landslides during the monsoon months. This buries the culvert under debris and blocks traffic. The debris has to be excavated before the road can be used. Options for a long-term solution are being examined.

79. The SASEC Transport, Trade Facilitation, and Logistics Project is on track to deliver all planned outputs by its extended closing date of June 2024. As of September 2023, the Phuentsholing–Chamkuna Road (3.36 km) and the Chamkuna – Ammochhu Road (3.62 km) have been completed. Around 50% of the improvement work on the Pasakha – Manitar Road has been completed. The remaining work is expected to be completed within the contract period of 30 May 2024. All equipment for the mini dry port and Alay Land Custom Station (ALCS) have been procured and set up except the CCTV security system at ALCS which is expected to be completed by 31 December 2023. The consultancy firm for designing the electronic Customs Management System was mobilized in March 2021. Different modules are being pilot tested. The entire electronic customs management systems – from registration to tax payment to clearance of goods – will be completed by October 2023. This will significantly reduce the time taken to clear customs consignments and boost trade.

80. The Air Transport Connectivity Enhancement Project-Additional Financing encountered significant delays due to COVID-19 restrictions. The grant was closed on 31 December 2022 with all contracts awarded and 90% of project funds having been disbursed. The knowledge and support TA, Enhancing Aviation Sector Development Capacity, is planned to be closed by 31 December 2023. The TA project is likely to be effective. ADB's support to the transport sector has been effective in institutional development due to the continued engagement with the government and support extended over the years.

81. **Water and other urban infrastructure and services.** ADB's support to the water and other urban infrastructure and services sector was *effective*. The support for institutional development is also assessed *effective*. The Urban Infrastructure Project closed in January 2023.⁶⁶ The project has completed all planned outputs as follows: (i) the construction of a 2.5 million liters per day water treatment plant in Samdrup Jongkhar, (ii) the construction of a 12 million liters per day wastewater treatment plant in Thimphu and water tanker (one for Phuentsholing and two for Samdrup Jongkhar), and (iii) enhanced capacity of counterpart staff.

82. The Secondary Towns Urban Development Project is at an advanced stage of implementation.⁶⁷ The components in Samdrup Jongkhar, Sarpang, and Trashigang Dzongkhag as of December 2022 are assessed *satisfactory*. At its completion, the project is expected to be *effective*. The PTDP activities are in full swing, and all outputs and outcomes are likely to be achieved by project completion in December 2025. The GRAHSP and Water Flagship Program Project were approved in 2021 and 2022 respectively. It is too early to assess their performance.

⁶⁵ ADB. 2014. [Report and Recommendation of the President to the Board of Directors: Proposed Loan and Grant to the Kingdom of Bhutan for the South Asia Subregional Economic Cooperation Road Connectivity Project](#). Manila.

⁶⁶ The PCR will be available in the latter part of 2023 or early 2024.

⁶⁷ ADB. 2018. [Report and Recommendation of the President to the Board of Directors: Proposed Loan to the Kingdom of Bhutan for the Secondary Towns Urban Development Project](#). Manila.

C. Efficiency

83. The CPSFR assesses ADB's support to Bhutan *efficient*. Of the seven PCRs prepared during the review period, one was rated *highly efficient*, five *efficient*, and one *inefficient*. Of these seven PCRs, IED validated four, of which three were rated *efficient* and one *inefficient*. All four validations concurred with the PCR ratings. The SASEC Information Highway Project was completed in 2017 but its PCR was delivered during the review period in 2019.⁶⁸ Hence, it was included in the portfolio of completed projects. Owing to the delays in agreeing on the implementation arrangements, low procurement, and changes in government priorities, the intended outcome could not be delivered.

1. Economic Efficiency

84. Of the seven completed projects, data on the EIRR was available for four infrastructure projects. The EIRR for the Rural Renewable Energy Project at completion exceeded the appraisal estimates (16.9% vs. 13.6%). Likewise, the estimated EIRR for the Thimphu Road Improvement Project rose from 19.2% at appraisal to 22.7% at completion. Conversely, the EIRR of the Road Network Project II was assessed as 15.8% at completion which was lower than the appraisal estimate (19.8%), but higher than the 12% threshold for economic efficiency. The PCR of the SASEC Information Highway Project noted that no quantifiable economic benefits are attributable to the project's regional network. The EIRR at completion was only 5.7% compared to 34.3% at appraisal. The EIRRs for two finance sector and one health sector projects were not assessed at appraisal or completion.

2. Processing Efficiency

85. Overall, the processing time of projects has gone down significantly during the CPS period. The CPSFR analyzed the time elapsed between (i) loan or grant approval to signing, (ii) signing and effectiveness, and (iii) approval and effectiveness for all active projects including those approved under the CPS. Table 1 shows marked improvements in processing time during the review period. Overall, time elapsed between approval and signing decreased from 1.04 months for all active projects to 0.28 months for projects approved during CPS (73% less). Likewise, time elapsed between signing and effectiveness decreased from 1.14 months for all active projects to 0.77 months for those approved during the CPS (33% less). Overall, from approval to effectiveness, there was a decrease in time elapsed, from 2.24 months to 1.05 months for those approved during the CPS (53% less). The efficiency gained in project processing is partly influenced by the quick approval of program loans. Due to the small number of projects in Bhutan, caution is warranted in comparing processing efficiency across different sectors. The processing efficiency of TA projects also improved: those approved during the CPS had an average processing time 0.44 months between approval and effectiveness as compared to an average of 0.55 months for all active TA projects.

Table 1.: Average Project Processing Time, 2019–2023
(months)

Sector	Projects Approved in 2019–2023 (13 projects)			Projects Active in 2019–2023 (22 projects)		
	AP to SG	SG to EF	AP to EF	AP to SG	SG to EF	AP to EF

⁶⁸ ADB. 2019. [Completion Report: South Asia Subregional Economic Cooperation Information Highway Project in Bhutan](#). Manila.

ANR	0.07	1.10	1.17	0.07	1.10	1.17
EDU	-	-	-	3.03	1.43	4.47
ENE	0.69	0.99	1.68	2.68	1.38	4.06
FIN	0.16	0.36	0.52	0.16	0.36	0.52
HLT	0.18	0.23	0.41	0.73	1.06	1.79
PSM	0.03	0.27	0.30	0.03	0.27	0.30
TRA	-	-	-	1.61	1.99	3.59
WUS	0.55	1.67	2.22	0.00	1.51	2.05
Overall average	0.28	0.77	1.05	1.04	1.14	2.24

ANR = agriculture and natural resources, AP = approval, EDU = education, EF = effectiveness, ENE = energy, FIN = finance, HLT = health, SG = signing, PSM = public sector management, TRA = transport, WUS = water and other urban infrastructure and services

Note: Projects approved in 2019–2023 refer to actual approvals during the CPS cycle (2019–2023), while projects active in 2019–2023 include those approved during the CPS cycle and also carried forward approvals in the previous CPS cycles for implementation in the current CPS.

Source: Asian Development Bank.

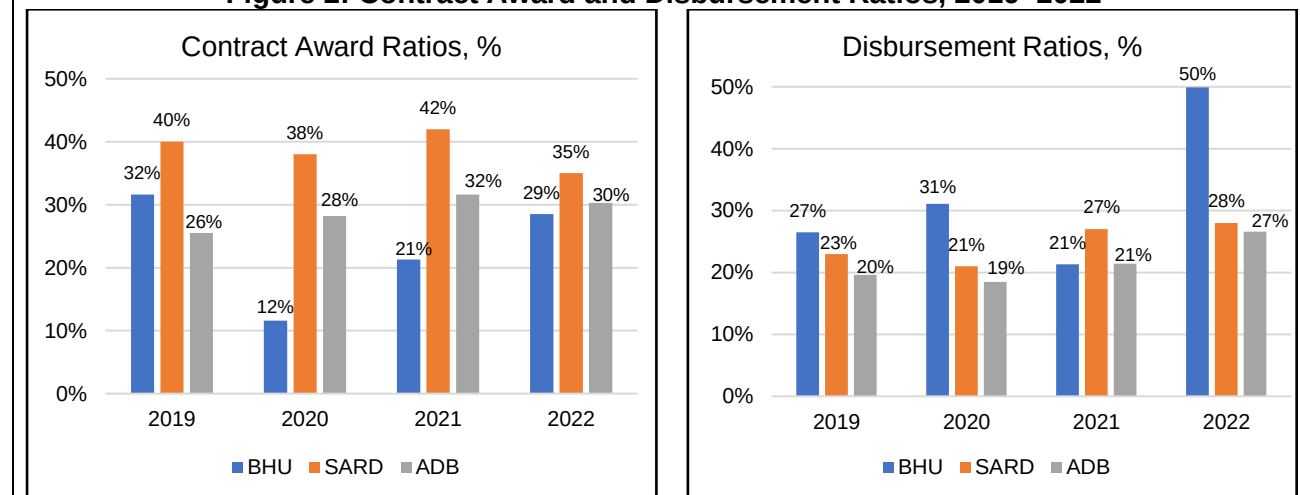
3. Implementation Efficiency

86. On average, the loans and grants closed 9.4 months after the original closing date. The implementation period was shorter for the operations approved during the CPS due to the higher share of program loans (that are single tranche and with swift disbursements) as compared to that in the mix of loans approved under the previous CPS. The implementation period of the TA projects was also shorter for those approved during the CPS (37.6 months) compared to those approved in the earlier CPS (57.7 months). The delays in project completion were associated with challenges of safeguard compliance, contractor performance, and consultant performance.

4. Contract Awards and Disbursement Ratio

87. Due to COVID-19 restrictions, the contract award ratio dropped from 32% in 2019 to 12% in 2020. It increased to 21% in 2021 due to some resumption of project activities and reached 29% by the end of 2022. Similarly, the disbursement ratio declined from 31% in 2020 to 21% in 2021. It recovered to 50% in 2022 once field visits and in-person meetings resumed.

Figure 2: Contract Award and Disbursement Ratios, 2019–2022



ADB = Asian Development Bank, BHU = Bhutan, SARD = South Asia Department.
Source: Asian Development Bank.

5. Net Resource Transfer

88. Data show that the net resource transfer from ADB to Bhutan remained positive throughout the review period. It increased from \$20.6 million in 2018 to \$77.3 million in 2019 to \$79.2 million in 2020. There was a decline in 2021 to \$53.2 million due to postponement of new approvals and slowdown in disbursements caused by the COVID-19 pandemic, but this increased to \$56.6 million in 2022 (Table 2).

Table 2: Net Resource Transfer for ADB Sovereign Operations, 2018–2022
(\$ million)

Source	2018	2019	2020	2021	2022
Regular ordinary capital resources	04.4	05.5	06.2	05.7	07.8
Concessional ordinary capital resources	01.1	32.6	54.7	23.8	38.6
Asia Development Fund	15.1	39.2	18.3	23.7	10.2
Total	20.6	77.3	79.2	53.2	56.6

Source: Asian Development Bank.

6. Project-Level Efficiency

89. **Agriculture, natural resources, and rural development.** ADB's support for the agriculture and natural resources sector is assessed *efficient*. Implementation of PTDP is on track. ADB has not received any request for an extension. The CPSFR mission noted that the contractor was working expeditiously on the project, which is expected to be rated efficient at completion. The Water Flagship Program Support Project was approved in December 2022 and the review considers that it is too early to provide an assessment of the efficiency of its irrigation components.

90. **Education.** The review assessed ADB's support to the education sector *efficient*. The Skills Training and Education Pathways Upgradation Project (STEP UP)⁶⁹ is progressing as planned. It was able to deliver its outputs on time and also supported key project readiness works of the *Pathways for Emerging Skills Jobs Project*. Although, with a slight delay in the construction of the Thimphu Technical Training Institutes, other civil works packages and goods procurement were completed as planned. The project will have trained more youth compared to the original target of 800 in emerging skills in partnership with the private sector by the end of project implementation. As of September 2023, the contract award is 81.6 % and disbursement is 72.93% against 87.9% elapsed time. The attached Support to Skills Development Reform TA, which is supporting the implementation of the STEP UP in areas of policy, strategies and assessments, is also on track.

91. **Energy.** ADB's support for the energy sector is assessed *efficient*. The PCR and PVR confirmed that the Rural Renewable Energy Development Project was efficient. ADB approved a 4-year extension for the Second Green Power Development Project beyond its original completion date due to geological challenges and COVID-19-related disruptions of construction work. The Tangsibji Hydro Energy Limited, a 100% subsidiary of Druk Green Power Corporation Limited, obtained approvals and airlifted skilled workers from India. To bypass the long wait for quarantine at designated government facilities, Tangsibji Hydro Energy Limited arranged quarantine facilities at the project site. Despite these challenges, the project has faced no cost overrun and the power

⁶⁹ ADB. 2021. [Technical Assistance to Bhutan for Support to Skills Development Reform](#). Manila.

generation output is likely to be increased in cascaded operations with the Mangdechhu power plant. The project will be completed and commissioned by December 2023. Although the implementation of the Alternative Renewable Energy Pilot Project was adversely impacted by the COVID-19 restrictions and the need for rebidding, the project is expected to be completed as scheduled. This project, along with the Renewable Energy for Climate Resilience Project, cannot be assessed for project efficiency at the time of this review. The TA for the SASEC Green Power Investment Program was assessed in the TCR as *less than efficient* because the government eventually decided against going ahead with the proposed Nyera Amari hydropower project.⁷⁰

92. **Finance.** The CPSFR assessed ADB's support to Bhutan's finance sector *efficient*. The policy-based loan for the FMDF assessed the program performance as *efficient*. The Rural Finance Development Project has progressed satisfactorily with cumulative disbursements of 43% as of 30 June 2023. Its implementation is likely to be delayed partly due to the COVID-19 impact and partly due to the high nonperforming loans of the CSI Bank. The project at its completion is likely to be less than efficient.

93. **Health and COVID-19 response.** ADB's support to the health sector is assessed *efficient*. The HSDP is expected to be efficient at program completion. The budgetary support of \$14 million was disbursed on time after achieving all policy matrix conditions of two tranches by October 2021. On the project investment component of \$6 million, the project is on track and scheduled to be closed within the original completion period with current cumulative contract awards of 98.16% and disbursement of 58.85% as of September 2023. The program is supported by a transaction TA- Capacity Development of Health Sector that was physically closed within the revised completion date on 31 August 2023, and it is expected to have an efficient rating in the TA completion report. Details on the \$10 million Responsive COVID-19 Vaccines for Recovery Project are provided in para. 75.

94. ADB responded swiftly to the government's request for COVID emergency assistance. The funds were fully disbursed by ADB within 6 months. The PCR of the CARES Program assessed it as *highly efficient*. It took less than 1 month for the program to be processed and approved and for the funds to be released. It is too early for the CPSFR to assess the efficiency performance of the Responsive COVID-19 Vaccines for Recovery Project under the Asia Pacific Vaccine Access Facility, which ADB approved in October 2022. Project implementation so far can be considered efficient as ADB had quickly disbursed 30% of the funds within 2 months after project effectiveness for retroactively financing COVID-19 vaccines procured in 2021 and 2022.

95. **Public sector management.** ADB's support for public sector management is assessed *efficient* based on the completion of all prior policy actions. The TA for Strengthening Policy Formulation and Implementation was approved by ADB just ahead of the COVID-19 outbreak. The TA was extended by 30 months and is expected to be completed by December 2024. As of June 2023, the contract awards reached 47% and disbursements were at 39%. The slow start-up was due to the pandemic; work resumed only in April 2022.⁷¹

96. **Transport.** ADB's support to the transport sector has been providing positive economic benefits to the country and is assessed as *efficient*. The PCRs of the Road Network Project II and Thimphu Road Improvement Project are rated *efficient*. The former has been validated by IED. The TCR for Trade Facilitation in South Asia rated the TA performance *highly efficient*. The

⁷⁰ ADB. 2021. [Completion Report. South Asia Subregional Economic Cooperation Green Power Investment Program](#). Manila.

⁷¹ ADB. 2020. *Technical Assistance to Bhutan for [Strengthening Policy Formulation and Implementation](#)*. Manila.

SASEC Road Connectivity Project was extended by 3 years due to start-up delays and the COVID-19 impact. The project has disbursed 98% of the funds and was physically completed on 31 December 2022. Financial liquidation is ongoing with target financial closing by the end of July 2023. Work on the SASEC Transport, Trade Facilitation, and Logistics Project is progressing as planned. It is expected to be completed by the extended completion period. The project implementation was affected by COVID-19, which slowed down progress for nearly 2 years. The grant was extended by 18 months and the loan by 24 months. As of June 2023, the project has awarded 77% and disbursed 56% of grant amounts. The TA for Enhancing Aviation Sector Development Capacity was extended by 16 months and will be completed by December 2023.

97. **Water and other urban infrastructure and services.** ADB's support to Bhutan's water and other urban infrastructure and services sector was *efficient*. The Secondary Towns Urban Development Project is scheduled to be completed within the recently approved 18-month extension (July 2025) that was needed due to the 2-year required lockdown during the pandemic. As of June 2023, contract awards and disbursements reached 87%. The PTDP is progressing well. The grants from the original and additional financing were financially closed in 2022 and only the two loans are now ongoing. They are likely to be completed by December 2025 without the need for any extension. The contract awards for PTDP reached 50% and disbursements at 17% as of June 2023. The GRAHSP became effective in February 2022. It is too early for an efficiency assessment. The Urban Infrastructure Project required 5 years of extension beyond the original closing date due to long procurement delays arising from the change in procurement modalities. Rebidding took over 4 years and the contract was awarded only in the third quarter of 2016. The project closed in December 2021 with a disbursement of 76% out of the approved loan amount. The undisbursed amount was cancelled at the financial closing. The savings were attributable to the low bid amounts.

D. Sustainability

98. Of the seven PCRs completed during the review period, five rated the projects as *likely sustainable*, one as *unlikely sustainable*, and one was not rated for sustainability. IED validated five of the seven PCRs and determined that two were *likely sustainable*, one was *less than likely sustainable*, one was not rated, and one was *unlikely sustainable*.

99. **Agriculture, natural resources, and rural development.** ADB's support to the agriculture and natural resources sector is *likely sustainable*. The TCR validation report rated Enhancing Competitiveness of High-Value Agriculture and Artisan Products Value Chains *likely sustainable* based on links to ADB's supported rural finance project and establishment of a national CSI development bank. At the time of this review's mission, ADB learned that the CSI Bank and Bhutan Development Bank may merge soon. Despite this, the review is of the view that the capacity in the CSIs is likely to sustain. Similarly, while the TA for Improving Market Linkages for Cottage and Small Industries is under implementation, it is also likely to be sustainable upon completion given its importance to CSIs. The Phuentsholing Township Development Project has a component on rural flood protection. The progress has been satisfactory, and it is expected that the benefit from the project is likely to be sustained. Flood and erosion protection measures, including 4 km of river protection walls and backfilling works, have been installed. The flood early warning system will be made operational in 2023. These measures are likely to substantially reduce vulnerability to flood and erosion in the future. The Water Flagship Program Support Project, approved in 2022, has a large irrigation component.⁷² There are no completed agriculture

⁷² The government has listed 35 major capital activities in the agriculture and natural resources sector for 2022–2023. Government of Bhutan, Ministry of Finance. 2023. [National budget financial year 2022–2023](#). Thimphu.

projects in the portfolio of the review projects. Hence, the review can only make assertions based on discussions with the stakeholders.

100. **Education.** The CPSFR assessed ADB's support to the education sector *likely sustainable*. Given Bhutan's high youth unemployment rate of over 28%, the government continues to emphasize human capital development and digitalization. Budget support for education and TVET will remain strong. Hence, ADB's ongoing and future support for TVET is likely to remain a high priority for the government.

101. **Energy.** The review rated ADB's support to the energy sector *likely sustainable*. The sector has remained the backbone of Bhutan's economy and a significant source of government revenue. The government allocates sufficient O&M funds and is actively engaged in power trade with India. The PCR and validation report of the Rural Renewable Energy Development Project concluded that the project was likely sustainable based on adequate O&M arrangement and a FIRR of 14% of the biogas component, which is much higher than the weighted average cost of capital (1.2%).⁷³ Similarly, the TCR of the Promoting Clean Energy Development in Bhutan TA project concluded that the achievements of the project were most likely sustainable.

102. **Finance.** The CPSFR assessed ADB's support for the finance sector *likely sustainable*. While the government fulfilled the requisite conditions for accessing PBL support, it is critical that the focus on reforms continues, and past policy actions are not reversed. The PCR of the FMDP assessed it as likely sustainable. Similarly, the TCR of the Diagnostic Study and Strategy Development for Rural Finance Sector Development TA project concluded that it is likely sustainable.⁷⁴ It noted that the government adopted the institutional strengthening plan and rural financing strategy. The government also made further commitment to the rural finance sector with a \$20 million investment in the sector supported by ADB under the Rural Finance Development Project. The strategies developed in this TA will be further implemented by the project. The sequencing of the support is likely to transform the Bhutan Development Bank Limited and bring lasting change to the sector.

103. **Health and COVID-19 response.** The CPSFR assessed ADB's support for the health sector (including COVID-19) *likely sustainable*. The ongoing HSDP is progressing well and helping to strengthen and expand Bhutan's health system and improve access. The PCR for the CARES Program did not assess the sustainability performance. However, given the improved understanding of pandemic threats, the government is now better prepared to respond to similar events in future.

104. **Public sector management.** ADB's support for the sector is assessed *likely sustainable*. The Fiscal Sustainability and Green Recovery Program (subprogram 1) is expected to be likely sustainable since all the prior program conditions have been approved. Technical assistance is being provided to facilitate the implementation of subprogram 2 and the post program partnership framework. Support to the public sector management through the Strengthening Policy Formulation and Implementation is well-received by the government. The outcome of the TA is likely sustainable.

105. **Transport.** ADB's support to the transport sector is *less than likely sustainable* unless the

⁷³ Independent Evaluation Department. 2021. [Validation Report. Kingdom of Bhutan: Rural Renewable Energy Development Project in Bhutan](#). Manila: ADB.

⁷⁴ ADB. 2021. [Completion Report: Diagnostic Study and Strategy Development for Rural Finance Sector Development in Bhutan](#). Manila.

government allocates the required funds for the O&M of roads. The current budget of the Department of Surface Transport only meets the needs of routine maintenance and a fraction of the emergency maintenance and treats the periodic maintenance needs as capital investment. The review understands that budget allocation usually meets around 50%–60% of total O&M requirements. The validation of PCR of the Road Network Project II concluded that the project was less than likely sustainable. However, the PCR of the Thimphu Road Improvement Project assessed it as *likely sustainable*.

106. **Water and other urban infrastructure and services.** ADB's support to the sector is assessed *likely sustainable*. Given the rise in rural–urban migration, the government has been emphasizing urban development. It is expected to continue allocating adequate budget to strengthen the water and waste management systems of cities, expand metering to reduce nonrevenue water, and increase the supply of affordable housing.

E. Development Impact

107. Of the seven PCRs completed by ADB, two were assessed for their development impact as *highly satisfactory*, four as *satisfactory*, and one as *less than satisfactory*. Of these, IED validated four PCRs and concluded that the development impact of three projects was *satisfactory*, and one was *less than satisfactory*.

108. **Agriculture, natural resources, and rural development.** The review rated the likely development impact of ADB's support to the agriculture sector *satisfactory*. The government is expected to prioritize this sector during the 13th Plan with a focus on irrigation and high-value niche crops. The rating provided here is presumptive based on discussions during the mission. The two projects in the sector are still under implementation. The potential development impact in terms of poverty alleviation and inclusive growth remains strong. The sector will contribute to ADB's Strategy 2030 OP 5: Promoting Rural Development and Food Security by expanding the area under irrigation and improving agriculture practices and water conservation.

109. **Education.** The ongoing TVET project (footnote 43) is sufficiently advanced. Based on its progress, the CPSFR assesses the project's development impact *satisfactory*. The project has helped to improve the teaching and learning environment and upgraded the facilities. While both students and parents prefer university education rather than TVET, they are increasingly viewing TVET as a pathway to employment. As a result, enrolments in TVET schools have shown an upward trend. The support to the education sector has contributed to ADB's Strategy 2030 OP1: Addressing Remaining Poverty and Reduced Inequalities due to skills development and focus on TVET education and training.

110. **Energy.** The CPSFR assessed the development impact of ADB's support to the energy sector *satisfactory*. While ADB has supported two hydropower projects (Nikachhu and Dagachhu) so far, in 2022, it funded Bhutan's first utility-scale solar park in Sephu.⁷⁵ The focus on renewable energy generation, transmission, and distribution has directly contributed to ADB's Strategy 2030

⁷⁵ ADB. 2014. [Report and Recommendation of the President to the Board of Directors: Proposed Loans, Grant, and Technical Assistance Grant to Tangsibji Hydro Energy Limited for the Second Green Power Development Project in Bhutan](#). Manila; and ADB. 2008. [Report and Recommendation of the President to the Board of Directors: Proposed Loans, Asian Development Fund Grant, Technical Assistance Grant and Administration of Grant for the Green Power Development Project in the Kingdom of Bhutan](#). Manila. In 2024, ADB is expected to fund the "Rooftop Solar for Public Infrastructure Project", which will cover around 1300 public buildings. By expanding investment in solar power, ADB is helping Bhutan to reduce its energy shortfall in winter and to adapt to climate change which is increasing the fluctuations in rainfall patterns on which hydropower is so dependent.

(i) OP 1: Addressing Remaining Poverty and Reducing Inequalities by ensuring expanded clean energy access to rural households, particularly vulnerable groups; (ii) OP 3: Tackling Climate Change and Disaster Resilience, and Enhancing Environmental Sustainability as a result of improved indoor air quality and reduced greenhouse gas emissions from fossil fuels; and (iii) OP 7: Fostering Regional Cooperation and Integration by exporting power to India and potential opportunities to export to other countries.

111. **Finance.** The review assessed the development impact of ADB's support to Bhutan's financial sector *satisfactory*. The reforms introduced under the FMDP were substantial and provide a good foundation on which ADB can build further going forward. Similarly, support for the Rural Finance Development Project is expected to improve access to finance for the CSIs. The scale of impact will be known after the government's decision pertaining to the merger of CSI Bank with Bhutan Development Bank. The sector's contribution to ADB Strategy 2030 is seen through OP 2: Accelerating Progress in Gender Equality by focusing on women's economic empowerment (through improved access to finance for CSIs).

112. **Health and coronavirus disease.** The development impact of ADB's support to the health sector (including COVID-19) is rated *satisfactory*. ADB financing enabled the government to procure vaccines and other medical supplies on time. Bhutan is now better prepared to respond to possible health crises in the future. The sector has directly contributed to ADB's Strategy 2030 OP 1: Addressing Remaining Poverty and Reducing Inequalities and OP 6: Strengthening Governance and Institutional Capacity by improving the access and quality of healthcare services.

113. **Public sector management.** The development impact of the Fiscal Sustainability and Green Recovery Program is assessed *satisfactory*. The TA project on Strengthening Policy Formulation and Implementation (footnote 33) continues to support the capacity development of relevant government agencies such as the MOF and the RMA through training and preparation of knowledge products. Government staff have acquired new knowledge of the debt management system. The sector has contributed to ADB Strategy 2030 OP 6: Strengthening Governance and Institutional Capacity by supporting policy reforms in the public sector.

114. **Transport.** The development impact of ADB's support to the transport sector is assessed *satisfactory*. The PCRs for the Road Network Project and Thimphu Road Improvement Project rated development impact of the projects as *satisfactory*. The two SASEC projects have helped to facilitate trade with India, reduce vehicle clearance time, and improve customs harmonization. Now the trucks can clear the border check-posts in less than 30 minutes as compared to several hours before the project. The bypass roads have also reduced travel time for heavy vehicles as they do not have to enter the congested Phuentsholing city. The sector contributed to Strategy 2030 OP 1: Addressing Remaining Poverty and Reducing Inequalities by supporting improved connectivity particularly for the geographically isolated communities to markets and institutions and OP 7: Fostering Regional Cooperation and Integration by supporting cross-border connectivity and improved trade and transit facilities.

115. **Water and other urban infrastructure and services.** The development impact of ADB's support for water and other urban infrastructure and services sector is assessed *satisfactory*. Only the Urban Infrastructure Project was completed during the review period. Discussions with stakeholders indicate that the project has improved the urban environment by constructing pedestrian footpaths and upgrading waste management, sanitation, and water supply systems. The PTDP has constructed cycling and walking lanes on riverbanks which are already attracting many users. The GRAHSP is being implemented but has not reached a stage at which its development impact can be assessed. However, it is expected to improve the livability, safety,

and sustainability of human settlements. The sector's contribution to ADB's Strategy 2030 is threefold: OP 1: Addressing Remaining Poverty and Reducing Inequalities by supporting water supply and sanitation for vulnerable populations, OP 2: Accelerating Progress in Gender Equality by reducing women's time poverty and drudgery, and OP 4: Making Cities More Livable by improving the quality of urban infrastructure and improved walkability.

116. **Gender equality.** The gender equality development impact of ADB's support to Bhutan is assessed *satisfactory*. Three of the seven sovereign projects that closed during the review period were categorized *effective gender mainstreaming*. The completion reports of two of these three projects show that the projects successfully achieved their gender mainstreaming targets and development impacts. The Rural Renewable Energy Development Project trained 31 women village technicians in the O&M of on-grid and off-grid solar systems, which are traditionally male-dominated occupations (e.g., electrical technicians and village electrical entrepreneurs). The endline survey showed that by improving the power supply, the project reduced the time spent by women on household work by 1 hour and on care work by 2 hours. The project helped to reduce the dependence of households on firewood for cooking. These impacts were achieved through the collaborative work of the Bhutan Power Corporation and the Royal Society for Protection of Nature in Bhutan, a civil society organization. The CARES Program exceeded its gender mainstreaming target. As validated by the IED, the CARES Program's "gender actions mitigated the pandemic's socioeconomic effects on women and girls."⁷⁶ While the completion report of the Urban Infrastructure Project (categorized *effective gender mainstreaming*) is yet to be prepared, the executing agency provided positive feedback on the achievement of the project's GAP. As part of the gender sensitivity training of local government officials under the Decentralized Coordination and Partnerships for Gender Equality Results (a TA completed in 2019), 20 district governments developed frameworks to address gender issues at the workplace. This TA also (i) established 13 *crèches*, which reduced the average time spent on childcare by almost 3.5 hours; and (ii) trained and supported six self-help groups of women in recycling waste. The achievements under these loans and TA projects would not have been possible without the involvement of nongovernment organizations and good coordination with government counterparts.

117. **Private sector development.** The development impact of the CPS on the private sector development is assessed *less than satisfactory*. The private sector's participation has been mainly as contractors and service providers for sovereign projects. Specific challenges which have prevented ADB from scaling up support for private sector operations in Bhutan are summarized in Table 3.

Table 3: Major Challenges Confronting Private Sector Development in Bhutan

Sector	Major Challenges
Infrastructure	• Small market for the private sector in core infrastructure areas. • Lack of organized, scalable enterprises for direct engagement and bankable projects.
Finance	• Under the Royal Monetary Authority's current external commercial borrowing regulations, financial institutions in Bhutan are not allowed to borrow directly from external lenders (including from the multilateral agencies), either in United States dollar or Indian rupee.
Trade Finance	• Difficulty in determining actual bank asset quality given the high percentage of loans under moratorium. • High level of intra-group lending within a banking group.
Agribusiness	• The extremely small scale and unorganized nature of the food industry leads to a

⁷⁶ Independent Evaluation Department. 2023. [Validation Report: COVID-19 Active Response and Expenditure Support Program in Bhutan](#). Manila: ADB.

	lack of right-sized companies.
Social Sector	• Lack of food exports impedes extension of foreign currency financing.
	• Few sizeable private sector opportunities in health care and education due to small market size.
	• Very strict regulation that only allows private sector involvement in limited areas, especially in the case of the health sector.
	• Lack of proper understanding of possible public–private partnership approaches in the social sector.
Private Equity Funds	• Lack of adequate institutional capacity to regulate and monitor private sector.
	• Low demand for private equity growth capital.
	• Limited capital market development.
	• Limited presence of multinationals as strategic buyers providing exits to private equity investors.

Source: Asian Development Bank.

118. There continues to be heavy dominance of SOEs, frequent policy changes, and limited access to credit which stifles private sector growth in Bhutan. In 2020, Bhutan ranked 89th in a list of 190 countries in terms of ease of doing business.⁷⁷ Poor connectivity, high transport cost, and inadequate infrastructure add to the problems posed by Bhutan's small market, landlocked location, and hilly terrain. While ADB planned to execute two successful PPP investment projects under the CPS, these are yet to materialize. The support being offered to the government for PPP and private sector operations should yield results under the new CPS.

119. **Regional cooperation and integration.** The CPSFR assessed the development impact of RCI *satisfactory*. Bhutan has participated in regional TA projects: Supporting the Implementation of the Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation Initiatives (BIMSTEC)⁷⁸ and Strengthening the Implementation of Regional Cooperation and Integration of South Asian Association Regional Cooperation.⁷⁹ These TA projects have supported (i) policy dialogue such as the informal meeting of the South Asian Association Regional Cooperation finance ministers at the sideline of ADB annual meetings; (ii) produced and shared key knowledge products such as the *BIMSTEC Master Plan for Transport Connectivity*, *BIMSTEC Trade Facilitation Strategic Framework 2030*, *Leveraging Thematic Circuits for BIMSTEC Tourism Development*, and *Update of the South Asian Association Regional Cooperation Regional Multimodal Transport Study*; and (iii) capacity building and knowledge sharing activities for BIMSTEC and the South Asian Association Regional Cooperation secretariats and member states. Bhutan has benefited from improved connectivity, trade facilitation, and logistics under two SASEC transport projects. The economic and social benefits of the increased volume of trade, quicker custom clearance, and reduced transport costs are significant. Both projects are ongoing and hence, these benefits are yet to be quantified. Part of the power produced by the 126-megawatt run-of-river Dagachhu hydropower project is being exported to India. Once the 118-megawatt Nikachhu hydropower project is commissioned by the end of 2024, part of its power will also be sold to India in line with the power purchase agreement. ADB support for Bhutan's hydropower is helping India and can also potentially assist Bangladesh (subject to the three countries reaching an agreement on power trade and transmission) in increasing the share of total energy coming from clean renewable energy.

120. **Climate change and disaster resilience.** The review assessed the development impact

⁷⁷ [The World Bank Doing Business Project. 2020. *Ease of Doing Business Ranking*.](#)

⁷⁸ ADB. 2019. [Technical Assistance to Bhutan for Supporting the Implementation of the Bay of Bengal Initiative for Multi-Sectoral Technical and Economic Cooperation Initiatives](#). Manila.

⁷⁹ ADB. 2020. [Strengthening the Implementation of Regional Cooperation and Integration Initiatives of South Asian Association for Regional Cooperation](#), Manila.

of ADB support to Bhutan *less than satisfactory* overall. The energy projects are climate-friendly by nature. The protection of forests and biodiversity continues to play an important role in the national agenda. Transport projects are an exception because the infrastructure is prone to frequent damage during the monsoon season and the government is not able to devote adequate resources for routine maintenance. Several roads get cut off during the monsoon. The review is of the view that Bhutan's preparedness to avert disasters and the impact of climate change remains weak. ADB's support for strengthening Bhutan's climate change adaptation and disaster resilience should be enhanced under the new CPS.

121. Knowledge and capacity building. The development impact of knowledge products and events is assessed *satisfactory*. Several of the knowledge products planned in the CPS knowledge plan could not materialize due to the pandemic and the focus of the government in controlling it. However, BHRM, in coordination with other relevant departments, has been following a "One ADB" approach to respond to the government's evolving demands for knowledge and capacity building. During the pandemic, BHRM conducted online workshops on safeguards, gender, procurement, economic and macroeconomic analysis, and financial management for executing agencies in collaboration with relevant headquarter staff. Under the Strengthening Policy Formulation and Implementation Project (footnote 33), a macroeconomist conducted several online training workshops in 2021 for MOF staff on computable general equilibrium modelling. Hybrid workshops on the International Comparison Program for collecting prices to compute purchasing power estimates and the Asian Development Outlook were conducted by the Economic Research and Development Impact Department and BHRM in 2021 and 2022. Knowledge products were formulated in response to the pandemic in consultation with the government. *Overcoming COVID-19 in Bhutan - Lessons from coping with the pandemic in a tourism-dependent economy* was completed in December 2021. Given the rise in reported domestic violence issues during the lockdown, a study to quantify the economic cost of gender-based violence was also prepared.

122. Once the pandemic restrictions were fully lifted around mid-2022, in-person knowledge and capacity building work were resumed. In September 2022, an assessment of Tax Administration Diagnostic Assessment Tool was conducted at the request of MOF, drawing on expertise from ADB, the International Monetary Fund, and the World Bank. Building the outcome of the assessment, a high-level digital transformation road map of the Department of Revenue and Customs has been prepared to address the weaknesses revealed by the outcome of the assessment, which will be further elaborated. A tax expenditure assessment has been prepared in 2023 to guide MOF on the level of revenue that is foregone through exemptions and how tax policy and selected rates need to be modified. BHRM has worked closely with the Governance Thematic Group on both these important initiatives. In November 2022, at the request of the minister for Foreign Affairs and External Trade, ADB supported a study tour of government officials to some of the major trade routes and road, rail, and waterway networks in Meghalaya, Assam, and West Bengal that link Bhutan with India and Bangladesh. The team included members from the ministries of economic affairs, finance, information and communication, and representatives of the private sector (Bhutan Chamber of Commerce and Industries and Bhutan Exporters Association). BHRM worked closely with the South Asia Regional Cooperation and Operations Coordination Division and the India Resident Mission (SASEC Secretariat) on this. Since December 2022, BHRM, in collaboration with the Economic Research and Development Impact Department, has been supporting the National Statistics Bureau in moving from annual to quarterly labor force surveys. In February 2023, a 2-week in-person workshop on computable

general equilibrium modelling was held for MOF staff.⁸⁰ Workshops on ADB's disbursement procedures, financial management, procurement, Federation Internationale Des Ingenieurs-Conseils contracts, and communication and media relations were held in the first half of 2023.

123. Going forward, ADB will field two PPP experts to work with MOF and relevant line ministries to identify and develop PPP projects in solar power, health, and urban water and sanitation areas. As part of the Fiscal Sustainability and Green Recovery Program, ADB will support the government on SOE reforms. It is clear from the above that despite the challenges posed by the pandemic, ADB facilitated several new knowledge products and capacity building activities following a "One ADB" approach in response to the government's requests. While these were different from what had been planned under the original CPS, they are demand-driven and timely, demonstrating ADB's responsiveness to the changing needs of the government.

F. Performance of the Borrower

124. The review assessed the borrower and executing agencies' performance as *satisfactory*. Of the seven PCRs, two rated the performance *highly satisfactory* and five *satisfactory*. Of the four validation reports, three were assessed *satisfactory* and one as *less than satisfactory*. The government has largely complied with project covenants and met social and environmental safeguard standards, procurement, and financial management requirements. The audited project financial statements, audited entity financial statements (whenever applicable), and progress reports are submitted to ADB on time. It should be noted that 100% of ADB projects in Bhutan are audited by the Royal Audit Authority (RAA). Based on the findings of the ongoing governance assessment (for the next CPS), it appears that the RAA has adequate capacity to effectively perform this role. RAA's audits adequately cover procurement activities using ADB's Procurement Guidelines. Government counterparts have a close working relationship with BHRM staff and coordinate well with respect to missions, portfolio review, and dialogue. The government provides counterpart funding on time. TPRM are co-chaired by MOF and are held twice each year. They are helping to improve the implementation of projects and ensure timely resolution of problems so that the performance in terms of contract awards and disbursement and achieving planned project outputs remains on track.

125. The implementation of some projects has been affected by frequent changes in scope, sites, project staff, and delays by the executing agencies in completing the procurement activities. Some project staff lack understanding of project account management as shown by the unliquidated funds from the project advance accounts, which in some cases, have been as high as 20% of the approved project financing. This prevents accurate computation and timely use of savings and delays project account closing, resulting in avoidable interest charges on undisbursed project loans.

126. The large number of resignations from the civil services, SOEs, RAA, and banks over the past 2 years has been very disruptive.⁸¹ Many of ADB's project counterpart staff have also resigned. This has added to the challenges of timely project implementation and safeguards

⁸⁰ The model was developed by a macroeconomist from the University of Dhaka and shared with government officers through two training workshops on the use of Eviews and CGE software. BHRM wrote a technical blog post summarizing the implications of the model.

⁸¹ As of end-June 2023, around 3,400 civil servants have resigned, and several hundreds have opted for extraordinary leave. The resignations are affecting all government ministries and departments, banks, government schools, colleges, TVET institutes, and hospitals. Owing to limited opportunities and difficulties of doing business, many in the private sector are also leaving for Australia and other countries. According to the Bhutan Chamber of Trade and Industry, around 4,000 employees have left various private sector jobs in 2022.

monitoring. The MOF is aware of these problems and has been supporting ADB as required. With the recent increase in civil service salaries, of between 55% to 75% depending on grade, the high turnover of counterpart staff may decline.

G. Performance of the Asian Development Bank

127. The review rated the performance of ADB *satisfactory*. Five PCRs rated ADB's performance *satisfactory*, one *highly satisfactory*, and one *less than satisfactory*. Similarly, of the four PCRs validated, IED assessed ADB's performance *satisfactory* and one *less than satisfactory*. Based on the feedback from the borrower and executing agencies, ADB stands out as a preferred development partner of Bhutan. It is viewed as being responsive to the government's justified requests. ADB's rapid support during the COVID-19 pandemic and subsequent economic recovery has been timely. ADB adjusted its country program appropriately to respond to the government's pandemic-related needs, while ensuring that the core projects and programs included in the pipeline were delivered albeit with delays in some cases. The CPS is aligned with the government's 12th Five-Year Plan. ADB has been a longstanding partner in renewable energy and transport sectors, and the line agencies are appreciative of ADB's support for project funding and capacity development. The new focus on ensuring energy security from alternative renewable sources (e.g., solar power) is highly praised by the government. ADB's support by transaction TA has ensured the design of quality investment projects. It has also continued to build capacity in critical areas of safeguard compliance, environmental management, project management, financial management, and procurement of goods and services. The agencies appreciate prompt support from BHRM for resolving problems. ADB coordinates closely with all development partners including the Austrian Development Agency, JICA, United Nations, and the World Bank.

128. Some counterpart agencies have expressed concerns that ADB takes a long time to design loans. They feel that ADB should rely more on the DPRs prepared by government departments and not spend so much time and TA resources in redoing the safeguards, financial, and other technical due diligence. In particular, the Ministry of Environment and Natural Resources and Druk Green Power Corporation Limited emphasize that their DPRs are very good; yet ADB takes a long time to review and update these. Since Bhutan aims to scale up its solar and hydropower capacity rapidly, ADB needs to speed up its loan processing. At times, counterparts have expressed dissatisfaction with the time it takes for ADB to review and clear procurement documents, requests for change of scope and project sites, and reallocation of loan funds. These concerns are not unique to Bhutan but are common across several developing member countries and reflective of the differences in the level of due diligence done by government agencies and that required by ADB. While ADB can do more to streamline its processes to reduce delays, align its requirements with the governments where there is broad equivalence, and assign more staff for Bhutan operations, more discussion between ADB and government agencies is required to clarify why it may take time for ADB to review and improve upon government DPRs or the additional safeguards, technical, economic, and financial analyses that are required before significant changes in project sites and/or activities can be endorsed. While it is necessary to highlight the significance of ADB's requirements for ensuring proper and efficient use of resources and durability of project assets and outcomes, ADB needs to hear the concerns of government counterparts and try its best to reduce response time where feasible.

129. While the portfolio of projects in Bhutan is small relative to that of other countries, it has been growing over the past few years. Hence, BHRM's staff strength needs to be increased, and its skills mix expanded. Since September 2022, three staff have been doing 1-year short-term assignments at BHRM. This has been a win-win for them and for BHRM staff. However, short-

term assignments are temporary fixes. As ADB shifts to the new operating model with effect from 1 July 2023, more staff positions should be allocated to BHRM so that its ability to respond in a timely and effective manner to the government's requests is enhanced.

IV. OVERALL ASSESSMENT

130. Overall, ADB operations in Bhutan during the CPS review period, 2019–2023 were *successful* (Table 4). The program is assessed as relevant, effective, efficient, likely sustainable, and satisfactory development impact. The CPS was aligned with the government's 12th Five Year Plan, ADB's Strategy 2030, and associated operational priorities. ADB was able to respond promptly to the government's request for pandemic support, while offering a mix of policy-based loans and investment loans in line with Bhutan's long-term development needs. Despite the disruptions caused by the pandemic, overall delivery of the CPS program in terms of loans, grants, policy dialogue, knowledge, and capacity building remained on track. Once the pandemic-related restrictions were eased around mid-2022, portfolio performance and loan delivery picked up.

Table 4: Overall Evaluation Assessment by Sector and Thematic Priorities

Sector	Weight	Relevance	Effectiveness	Efficiency	Sustainability	Development Impact	All Criteria
ENE	0.25	2.0	2.0	2.0	2.0	2.0	2.0
FIN	0.19	2.0	2.0	2.0	2.0	2.0	2.0
WUS	0.17	2.0	2.0	2.0	2.0	2.0	2.0
TRA	0.12	2.0	2.0	2.0	1.0	2.0	1.8
HLT	0.10	2.0	2.0	2.0	2.0	2.0	2.0
ANR	0.08	2.0	2.0	2.0	2.0	2.0	2.0
PSM	0.06	2.0	2.0	2.0	2.0	2.0	2.0
EDU	0.03	2.0	2.0	2.0	2.0	2.0	2.0
Sovereign Assessment		2.0	2.0	2.0	1.9	2.0	1.98
Themes							
Gender Equality		2.0				2.0	
Private Sector Development		2.0				1.0	
Regional Cooperation and Integration		2.0				2.0	
Climate Change and Disaster Resilience		2.0				1.0	
Knowledge and Capacity Building		2.0				2.0	
Thematic Assessment		2.0				1.60	
Sovereign Assessment		2.0				1.70	1.98
		Relevant	Effective	Efficient	Likely Sustainable	Satisfactory	Successful

ANR = agriculture, natural resources and rural development; EDU = education; ENE = energy; FIN = finance; HLT = health; PSM = public sector management; TRA = transport; WUS = water and other urban infrastructure and services.

Sector	Weight	Relevance	Effectiveness	Efficiency	Sustainability	Development Impact	All Criteria
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Weights are adjusted according to individual sector size relative to the overall portfolio based on the program portfolio under review. The overall score is based on equal weights of the sector and thematic assessments. The performance of nonsovereign operations performance is not rated given its relatively low share in the overall portfolio.

Overall rating: Highly successful: $2.5 \leq s \leq 3$; successful: $1.75 \leq s < 2.5$; successful on the borderline: $1.6 \leq s < 1.75$; less than successful: $0.8 \leq s < 1.6$; and unsuccessful: $0.0 \leq s < 0.8$, where s is the overall weighted average score.

Source: CPSFR ADB Team computations.

V. ISSUES, LESSONS, AND RECOMMENDATIONS

A. Issues

131. Section II of this review (paras. 11-17) discussed the main development challenges and structural issues facing Bhutan. Going forward, the government needs to address the following issues, some of which may require support from ADB.

- (i) **Narrow economic base.** Bhutan's economic base is narrow and heavily dependent on power exports to India. The private sector is small owing to the high cost of doing business and the continuing dominance of the public sector. In 2020, Bhutan ranked 89th in a list of 190 countries on ease of doing business.⁸² The lagging areas identified were the time taken to start a business, challenges of accessing credit, protecting minority investors, and resolving insolvency. Bhutan's foreign exchange reserves are low owing to its high import dependency and limited export options.
- (ii) **High youth unemployment.** Owing to Bhutan's narrow economic base and weak private sector, youth unemployment has been increasing in recent years. This has triggered a sharp rise in the migration of working-age people and professionals to Australia and other countries in search of better education and employment opportunities. This is destabilizing, particularly for a small country like Bhutan.
- (iii) **Vulnerability to climate change and disasters.** Given the fragility of Bhutan's Himalayan ecosystem, it is highly vulnerability to climate change and natural disasters, especially landslides. Changes in the rainfall pattern have raised the fluctuation in hydropower generation – Bhutan's main revenue source. Seasonal water shortages are becoming worse and affecting the agriculture sector. Each year, especially during the monsoon seasons, there is heavy damage to infrastructure and frequent road closures due to landslides.
- (iv) **Limited access to external finance.** Bhutan is set to graduate from the list of least developed countries (LDCs) at the end of 2023. Access to grants and technical cooperation from the UN agencies is expected to go down over time.
- (v) **Underutilized RCI potential.** Bhutan has not been able to fully tap the benefits of regional cooperation and integration. The country has been exploring market diversification opportunities but has had limited success.

B. Lessons

132. The review highlights the following lessons:

⁸² World Bank Group. 2020. *Doing Business 2020*, Washington, D.C.

- (i) **Flexibility in the country programming.** ADB provided timely support to the government to address the challenges posed by the pandemic while delivering on the overall priorities of the CPS. Since Bhutan is going through a period of economic uncertainty, it will be necessary for ADB to show similar flexibility going forward and to make country programming and delivery more responsive and strategic.
- (ii) **More focus on improving project design and raising project readiness.** To raise overall portfolio performance, more needs to be done to improve project design and implementation readiness. Climate concerns and disaster mitigation measures should be duly incorporated in the design of all projects.
- (iii) **Private sector development is critical for diversifying Bhutan's economy and creating employment and livelihood opportunities.** Under the new CPS, more attention should be paid to how ADB can support private sector development in Bhutan through its sovereign operations, PPPs, and private sector operations. By promoting RCI and facilitating trade, ADB will be able to reinforce the government's efforts towards creating more jobs and reducing unemployment.
- (iv) **Ongoing support for capacity development.** Owing to high staff turnover in the executing and implementing agencies, ADB should hold more frequent training workshops for new staff to familiarize them with various ADB policies and processes.

C. Recommendations

133. Based on the issues and the lessons learned over the past five years, the CPSFR offers the following recommendations for the next CPS:

- (i) **Focus on upstream knowledge work and project readiness to build a robust pipeline.** The CPS 2019-2023 was relevant and ADB's support for Bhutan has been effective and efficient overall. Going forward, ADB should undertake upstream strategic studies and knowledge work focusing on economic diversification, private sector development, inclusive and resilient infrastructure development, and policy reforms to build a more robust and balanced pipeline to support Bhutan's forthcoming 13th Five Year Plan for 2024-2028 effectively. To deliver on these priorities in a timely manner, it will be necessary to improve the design and implementation-readiness of infrastructure projects. PRFs, which allow detailed engineering designs, advance procurement actions, pre-implementation capacity building, and pilot testing, are being used effectively in Bangladesh, India, Pakistan, and Uzbekistan to develop a pipeline of infrastructure projects. Bhutan has so far used only transaction TA projects to design infrastructure loans. Since detailed engineering design and pre-implementation activities cannot be done using transaction TA funds, the performance of some of these projects has been affected as discussed in the CPSFR. The government of Bhutan has now decided to use PRFs to design energy and transport projects. These PRFs are expected to be approved in 2023 and 2024. Based on the experience gained, Bhutan should use the PRF modality more as required under the new CPS.
- (ii) **Incorporate climate adaptation and disaster resilience in the design and implementation of all projects in greater detail.** Given Bhutan's fragile ecology and the growing risks of climate change and disasters, design of infrastructure projects should be improved. It is necessary to study evolving climate scenarios and undertake

multi-hazard risk assessments and vulnerability studies of the project areas. Transformational projects with strong climate change-focused outputs and outcomes should be identified in consultation with the government. PRFs will help in strengthening the climate adaptation and disaster resilience features of infrastructure projects. Government agencies should be encouraged to allocate more funds and staff resources to undertake the required surveys, maintain the assets, and set up soil and water conservation systems to stabilize the slopes and manage rainfall runoff well. Under the new CPS, a programmatic approach for policy reforms and project-level climate and disaster risk resilience development initiatives should be prioritized.

- (iii) **Support for creating an enabling environment for public–private partnerships and private sector development.** The current CPS had planned activities under PPP but could not make much progress owing to the pandemic. Under the new CPS, ADB's sovereign opportunities should be combined more strategically with support for PPPs so that the government can catalyze more private sector participation, reform SOEs, and create more job opportunities. BHRM and OMDP have offered the government PPP consulting and capacity-building support, drawing on ADB's experience of assisting PPPs in other countries. PPPs should be explored in areas such as solar power, health diagnostics, and urban waste management, among others. Upstream work by OMDP, which can help Bhutan in designing bankable projects, should be coordinated with downstream support from the PSOD under the new CPS.
- (iv) **Identify additional opportunities for regional cooperation and integration (RCI).** While past projects such as the SASEC Transport, Trade Facilitation, and Logistics Project and the SASEC Road Connectivity project had RCI components, more needs to be done on RCI. BHRM should work closely with the RCI Unit, South Asia Department, and the SASEC Secretariat of the India Resident Mission to identify more RCI opportunities that can benefit Bhutan and its South Asian neighbors.
- (v) **Strengthen gender equality and social inclusion further.** Mainstreaming of gender equality and social inclusion concerns has been satisfactory in the design and implementation of all loans, TA, and capacity-building workshops in the Bhutan program. Based on the experience gained, the focus on gender policy work; risks to sexual exploitation, abuse, and harassment; gender-based violence prevention; and establishing or improving management information systems to include sex-disaggregated data should be strengthened further in consultation with the government and civil society under the forthcoming CPS.
- (vi) **Use tripartite portfolio review meetings strategically to improve project implementation and portfolio management.** The overall quality of ADB's portfolio in Bhutan was affected by the lack of adequate project readiness; weak counterpart capacity for project implementation and contract and accounts management; limited capacity of national firms, contractors, and consultants; frequent changes in project scope; and delays in project activities including procurement, liquidation of accounts, and submission of monitoring reports. Aside from the project review missions, the tripartite portfolio review meetings, which are held twice a year, have helped in focusing the attention of the MOF and line ministries on project readiness and implementation. These meetings should continue to share relevant best practices on project implementation and emphasize the need to follow project timelines, avoid frequent requests for changing scope of projects (unless absolutely necessary), and adhere to what is stipulated in the loan agreements. Counterpart staff should be taken

to see projects in other countries. They should also attend tripartite portfolio review meetings in other South Asian countries to understand how MOF can provide strategic direction to the line ministries and implementing agencies to ensure that projects are implemented in a timely and effective manner.

- (vii) **More staff resources for Bhutan Resident Mission can increase country program efficiency.** The volume of Bhutan operations, number of delegated projects, and the roles and responsibilities of BHRM staff have increased sharply since 2020. However, the staff positions allocated for BHRM have remained the same since 2017. While staff on short-term assignments can help to strengthen specific functions at BHRM, a long-term solution is needed. Given the high turnover of the national staff, at least one to two more international staff positions should be created within BHRM to ensure continuity and promote cross-learning. Under the decentralization initiative of the New Operating Model, international staff and national staff, who are stationed in headquarters or in other resident missions, can be assigned to work on Bhutan for a portion of their time. More staff positions for BHRM will enhance its capacity to support a growing and more complex program effectively.

Strategic Context of ADB Sectors and Themes and Reference National Key Results Areas

ADB Sector/ Theme	Specific National Key Area Strategies Under the 12 th Five Year Plan ⁸³
ANR	NKRA 3: Reducing poverty and inequality: Target the poor: Groups most vulnerable will be identified and provided with need-based interventions to increase their ability to earn income and improve their overall standard of living. The focus will be on creating income-generating opportunities through skills enhancement and capacity development, ensuring food security, and improving overall health and well-being. NKRA 5: Healthy ecosystem: Explore innovative financing for sustainable management of protected areas; initiate payment for ecosystem services; strengthen research on biodiversity information; and promote traditional knowledge and customary practices in conservation and sustainable use of biodiversity. NKRA 8: Food and nutrition security: Encourage cultivation of fallow land; expand and strengthen the irrigation system; enhance farm labour supply; establish a network of post-production and marketing facilities; strengthen price support for agricultural produce; strengthen research and extension services; and promote farm mechanisation. NKRA 17: Sustainable Water: Provide adequate irrigation water.
EDU	NKRA 7: Quality education and skills: Make teaching a profession of choice; strengthen early childhood care and development and primary education; shift from examination based to holistic and formative assessments; create pathways between mainstream and vocational education; transform TVET for sustainable development; strengthen gross national happiness-based value education in schools and institutes. NKRA 11: Productive and gainful employment: generate adequate gainful jobs by accelerating tourism sector growth and production and manufacturing through cottage and small-scale industries; provide dedicated job placement services; skilled workforce – Provide skills development training to meet labour market needs focusing on tourism and production and manufacturing sector; Promote entrepreneurship: Create a conducive environment to promote creativity, innovation and entrepreneurship through the development of a start-up ecosystem; Incentivise local governments to create jobs: To ensure that Dzongkhags with a high incidence of unemployment and employment in agriculture receive adequate resources, the unemployment rate and people employed in agriculture shall be used as criteria to determine resource allocation among local governments.
ENE	NKRA 2: Economic diversification: Diversify into allied hydropower industries and secure energy security for economic growth.
FIN	NKRA 1: Macroeconomic stability: Broaden revenue base and streamline tax administration; institute expenditure control measures on public constructions and procurement; explore additional concessional financing windows; and boost private investment and savings. NKRA 12: Reduce corruption: Mainstream corruption reduction measures and key performance indicators into plans of government agencies and local governments; inculcate ethical behaviour among different sections of society and occupational groups; and strength institutional capacities of key law enforcement agencies.
HLT	NKRA 3: Reducing poverty and inequality: Broad-based social sector programs in health, education and agriculture shall be implemented by both central agencies and local governments. The focus will be on enhancing equitable access to social services and improving the quality of services provided.

⁸³ https://planipolis.iiep.unesco.org/sites/default/files/ressources/bhutan_12fyp_vol1.pdf

ADB Sector/ Theme	Specific National Key Area Strategies Under the 12 th Five Year Plan ⁸³
	NKRA 14: Healthy and caring society: Curb non-communicable diseases; upgrade skills of health workers and ensure adequate need-based deployment; strengthen tertiary healthcare services including referral system; strengthen healthcare services and facilities at dzongkhag and gewog level; and automate and digitize patient information for efficient management, tracking and follow-up.
IND	NKRA 2: Economic diversification: Attract private and foreign investment by creating an enabling business environment, particularly improving indicators of ease of doing business in which Bhutan is lagging behind; promote high value-added cottage and small-scale industries through support to product design and branding, skills development, and facilitate marketing; and accelerate tourism sector development through diversification of products, services and amenities, intensifying marketing to promote Bhutan as a year-round destination for high-end tourism.
PSM	NKRA 9: Infrastructure, communication, and public services: Streamline public services through a whole-of-government approach; strengthen government to citizen Office; and leverage ICT as an enabler and an industry.
TRA	NKRA 9: Infrastructure, communication, and public services: Ensure an all-weather road network including blacktopping of remaining farm roads; and explore alternative modes of transport such as electric vehicles, ropeways, and cycling.
WUS	NKRA 17: Sustainable water: Build and rehabilitate climate-resilient water infrastructure; improve drinking water quality and safety; implement water legislation and governance; and explore the creation of a dedicated water agency. NKRA 15: Sustainable human settlements: Promote green and energy-efficient buildings; mainstream measures to reduce vulnerability to disasters; enhance access to safe, inclusive, and green public spaces; promote affordable housing and homeownership schemes; improve efficiency and effectiveness of Thromde and municipality services; and implement the National Development Plan 2030.
CC&DRM	NKRA 6: Carbon neutrality, climate and disaster resilience: Mainstream environment in all sectoral and local government plans; improve waste management; explore eco-friendly public transport systems; enhance mitigation and adaptation to climate change; and strengthen preparedness and response to both natural and man-made disasters.
Gender	NKRA 10: Gender equality: <i>Implement specific gender-friendly support measures</i> : Construct new crèches, nursing rooms, and gender-friendly toilets in workplaces and public areas; explore the scope for provide allowances to women in rural areas during the initial months of childbirth and free sanitary napkins to all girl-students; consider technical and financial support to enable women to own and operate their own businesses; strengthen the protection system for women and children. Mainstream gender into policies, plans and programmes: As gender is a cross-cutting theme, it will be mainstreamed into policies, plans and programmes of all agencies and relevant interventions shall be formulated across the themes for promoting gender equality and child wellbeing in the country.

ANR= agriculture, natural resources and rural development, CC&DRM = climate change and disaster risk management, EDU = education, ENE = energy, FIN = finance, HLT = health, IND = industry and trade, PSM = public service management, TRA = transport, WUS = water and urban.

Source: Gross National Happy Commission. 2019. Twelfth Five Year Plan Document Volume-I Main Document, Thimphu.

List of Active ADB Loan and Grant Projects in Bhutan, 2019–2023

No.	Sector	Approval No.	Modality	Project Name	Current Status	Approval Date	Completion Date		COVID-19 Related	Gender Category	Approval Amount (\$M)	Climate Finance	
							Original	Revised/ Actual				Yes/No	Amount (\$M)
1	ANR	0573-BHU	PG	Phuentsholing Township Development Project	Closed	05-Jun-18	31-Dec-25	24-Oct-22	No	SGE	24.26	Yes	2.00
		3668-BHU(COL)	PL		Open	05-Jun-18	31-Dec-25	31-Dec-25	No		28.74	No	
2	ANR	0874-BHU	PG	Water Flagship Program Support Project	Open	12-Dec-22	30-Jun-30		No	EGM	6.00	Yes	12.20
		4281-BHU(COL)	PL		Open	12-Dec-22	30-Jun-30		No		14.00	Yes	
		9233-BHU	PG		Open	12-Dec-22	30-Jun-30		No		2.00	Yes	
3	EDU	0596-BHU	PG	Skills Training and Education Pathways Upgradation Project	Open	30-Aug-18	30-Apr-24	30-Apr-24	No	EGM	15.00	Yes	0.96
4	ENE	0421- BHU	PG	Second Green Power Development Project	Open	15-Dec-14	30-Jun-20	30-Jun-24	No	SGE	25.25	Yes	120.50
		3225-BHU	PL		Open	15-Dec-14	30-Jun-20	30-Jun-24	No		70.00	Yes	
		3226-BHU(COL)	PL		Open	15-Dec-14	30-Jun-20	30-Jun-24	No		25.25	Yes	
5	ENE	9211-BHU	PG	Alternative Renewable Energy Pilot Project	Open	21-Oct-20	30-Jun-25		No	EGM	3.00	Yes	3.00
6	ENE	0855-BHU	PG	Renewable Energy for Climate Resilience Project	Open	18-Oct-22	30-Jun-26		No	EGM	10.00	Yes	18.26
		4231-BHU(COL)	PL		Open	18-Oct-22	30-Jun-26		No		8.26	Yes	
7	FIN	3863-BHU	PBL	Financial Market Development Program (Subprogram 1)	Closed	26-Nov-19	31-May-20	31-May-20	No	SGE	30.00	No	
8	FIN	3992-BHU(COL)	PBL	Financial Market Development Program (Subprogram 2)	Closed	27-Oct-20	31-Dec-20	31-Dec-20	No	SGE	30.00	No	
9	FIN	4042-BHU(COL)	PL	Rural Finance Development Project	Open	11-Dec-20	30-Jun-25		No	GEN	20.00	No	
10	FIN	4130-BHU(COL)	PBL	Financial Market Development Program (Subprogram 3)	Closed	22-Oct-21	31-Dec-21	31-Dec-21	No	SGE	30.00	No	
11	HLT	0615-BHU	PBG	Health Sector Development Program	Closed	05-Oct-18	28-Feb-24	16-Dec-21	No	EGM	14.00	No	
		0616-BHU	PG		Open	05-Oct-18	28-Feb-24	28-Feb-24	No		6.00	No	
12	HLT	0715-BHU	PG	COVID-19 Emergency Response	Closed	16-Jul-20	21-Jun-21	04-Jun-21	Yes	NGE	2.00	No	
13	HLT	4199-BHU(COL)	PL	Responsive COVID-19 Vaccines for Recovery Project under the Asia Pacific Vaccine Access Facility	Open	29-Jul-22	31-Dec-25		Yes	EGM	10.00	No	
		9230-BHU	PG		Open	29-Jul-22	31-Dec-25		Yes		3.00	No	

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No.	Sector	Approval No.	Modality	Project Name	Current Status	Approval Date	Completion Date		COVID-19 Related	Gender Category	Approval Amount (\$M)	Climate Finance	
							Original	Revised/ Actual				Yes/No	Amount (\$M)
14	PSM	3914-BHU(COL)	PL	COVID-19 Active Response & Expenditure Support Program	Closed	04-May-20	30-Jun-21	12-Jul-21	Yes	EGM	20.00	No	
15	PSM	4229-BHU(COL)	PBL	Fiscal Sustainability and Green Recovery Program (Subprogram 1)	Closed	17-Oct-22	31-Dec-22	31-Dec-22	No	EGM	37.35	Yes	10.19
16	TRA	2816-BHU(COL)	PL	Urban Infrastructure Project	Open	29-Nov-11	14-Aug-18	10-Jan-22	No	EGM	19.87	No	
17	TRA	0400-BHU	PG	South Asia Subregional Economic Cooperation Road Connectivity Project	Open	31-Jul-14	31-Dec-19	31-Dec-22	No	SGE	18.96	Yes	1.60
18	TRA	0484-BHU	PG	Air Transport Connectivity and Enhancement Project - Additional Financing	Open	29-Jun-16	31-Dec-20	31-Jan-24	No	NGE	4.00	No	
19	TRA	0492-BHU	PG	South Asia Subregional Economic Cooperation Transport, Trade Facilitation and Logistics Project	Open	31-Aug-16	30-Jun-22	31-Dec-23	No	SGE	5.00	No	
		3421-BHU(COL)	PL		Open	31-Aug-16	30-Jun-22	30-Jun-24	No		14.61	Yes	5.50
20	TRA	0499-BHU	PL	Thimphu Road Improvement Project	Closed	29-Sep-16	30-Jun-20	24-Feb-22	No	SGE	4.25	Yes	0.33
21	WUS	3674-BHU(COL)	PL	Secondary Towns Urban Development Project	Open	18-Jun-18	31-Jan-24	31-Jan-24	No	EGM	10.00	Yes	1.07
-	WUS	0765-BHU	PG	Phuentsholing Township Development Project - Additional Financing	Closed	27-Nov-20	31-Dec-25	18-May-22	No	SGE	10.00	Yes	0.05
		4019-BHU(COL)	PL		Open	27-Nov-20	31-Dec-25		No		18.50		
22	WUS	0812-BHU	PG	Green and Resilient Affordable Housing Sector Project	Open	07-Dec-21	30-Jun-28		No	EGM	6.00	No	
		4150-BHU	PL		Open	07-Dec-21	30-Jun-28		No		24.00	Yes	12.00
Total (22 projects)											569.30		187.66

ADB = Asian Development Bank, ADF = Asian Development Fund, ANR = agriculture, natural resources and rural development, BHU = Bhutan, COL = concessional loan, COVID = coronavirus disease, EDU = education, EGM = effective gender mainstreaming, ENE = energy, FIN = finance, GEN = gender equity, HLT = health, NGE = no gender element, PBG/L = policy-based grant/loan, PG = project/program grant, PL = project/program loan, SGE = some gender elements, TRA = transport, WUS = water and other urban infrastructure and services

Source: Asian Development Bank.

List of Active ADB Technical Assistance Projects in Bhutan, 2019–2023

No.	Sector	Approval No.	Type	Gender Category	Project Name	Current Status	Approval Date	Completion Date		Approved Amount (\$M)	Fund Source
								Original	Revised/ Actual		
1	ANR	9270-BHU	CDTA	EGM	Enhancing Competitiveness of High-Value Agriculture and Artisan Products Value Chains	Closed	09-Dec-16	31-Dec-19	31-Dec-20	0.50	TASF-5
2	EDU	9281-BHU	TRTA	EGM	Supporting Skills Training and Education Pathways Upgradation Project	Closed	19-Oct-18	31-Dec-17	15-Dec-21	0.92	TASF-6
3	EDU	6778-BHU	TRTA	GEN	Support to Skills Development Reform	Ongoing	21-Sep-21	31-Mar-24		0.27	TASF-6
4	ENE	9005-BHU	PPTA	SGE	South Asia Subregional Economic Cooperation Green Power Investment Program	Closed	03-Dec-15	30-Apr-18	30-Nov-20	1.50	JFPR
5	ENE	6598-BHU	TRTA	EGM	Preparing Renewable Energy for Climate Resilience	Ongoing	18-Nov-20	31-Dec-23		0.25	CCF
		6598-BHU					18-Nov-20	31-Dec-23		0.50	TASF-6
		6598-BHU					22-Nov-21	31-Dec-24		0.50	TASF-6
6	ENE	10008-BHU	KSTA	SGE	Promoting Energy Security and Transition Project	Ongoing	05-Dec-22	31-Jan-26		1.00	TASF-7
7	FIN	9805-BHU	KSTA	EGM	Diagnostic Study and Strategy Development for Rural Finance Sector Development	Closed	24-Sep-19	30-Apr-20	10-Dec-20	0.23	TASF-6
8	FIN	9872-BHU	TRTA	SGE	Supporting Financial Market Development Program	Closed	26-Nov-19	31-Mar-22	24-Oct-22	0.50	TASF-6
9	FIN	6581-BHU	TRTA	SGE	Strengthening the Financial Market Development Program	Ongoing	27-Oct-20	31-Mar-22	31-Dec-23	0.25	FSDPSF
		6581-BHU					27-Oct-20	31-Mar-22	31-Dec-23	0.25	TASF-6
10	FIN	6677-BHU	TRTA	GEN	Capacity Building for Rural Finance Development	Ongoing	11-Dec-20	31-Dec-24		0.25	FSDPSF
		6677-BHU					11-Dec-20	31-Dec-24		0.75	TASF-6
11	FIN	6581-BHU	TRTA	SGE	Strengthening the Financial Market Development Program	Ongoing	27-Oct-20	31-Mar-22	31-Dec-23	0.25	FSDPS
		6581-BHU					27-Oct-20	31-Mar-22	31-Dec-23	0.50	HLTF
		6581-BHU					27-Oct-20	31-Mar-22	31-Dec-23	0.70	TASF-6
12	FIN	6885-BHU	KSTA	EGM	Supporting Financial Sector Reforms	Ongoing	16-Dec-21	31-Oct-23		0.50	TASF-7
13	FIN	6971-BHU	TRTA	EGM	Fiscal Sustainability and Green Recovery Program (Subprogram 1)	Ongoing	17-Oct-22	30-Sep-25		1.00	TASF-7
14	HLT	9606-BHU	TRTA	EGM	Health Sector Development Program	Ongoing	05-Oct-18	31-Aug-20	31-Aug-23	0.50	TASF-6
15	IND	6537-BHU	KSTA	EGM	Improving Market Linkages for Cottage and Small Industries	Ongoing	09-Jul-20	30-Jun-23	30-Jun-24	2.00	JFPR
16	PSM	6527-BHU	KSTA	EGM	Strengthening Policy Formulation and Implementation	Ongoing	26-Jun-20	30-Jun-22	31-Dec-24	0.75	TASF-6
17	TRA	9864-BHU	KSTA	NGE	Enhancing Aviation Sector Development Capacity	Ongoing	18-Nov-19	31-Aug-22	31-Dec-23	2.00	TASF-6
18	TRA	6916-BHU	KSTA	SGE	Master Plan for National Highways Connectivity	Ongoing	17-May-22	31-Oct-24		2.00	TASF-7
19	WUS	6858-BHU	TRTA	EGM	Supporting the Green and Resilient Affordable Housing Sector Project	Ongoing	07-Dec-21	31-Dec-24		1.00	TASF-7
Total (19 projects)										18.87	

ADB = Asian Development Bank, ANR = agriculture, natural resources and rural development, CDTA = capacity development technical assistance, CCF = climate change fund, COVID = coronavirus disease, EDU = education, EGM = effective gender mainstreaming, ENE = energy, FIN = finance, FSDPSP = financial sector development partnership special fund, GEN = gender equity, HLT = health, HLTF = high-level technology fund, IND = industry and trade, JFPR = Japan fund for prosperous and resilient Asia and the Pacific, KSTA = knowledge

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and support technical assistance, NGE = no gender element, PSM = public sector management, SGE = some gender element, TASF = technical assistance special fund, TRA = transport, WUS = water and other urban infrastructure and services.

Source: Asian Development Bank.

List of PCR/TCR/PVR/TCRV Circulated for Sovereign Projects and Technical Assistance, 2019–2023

Completed Sovereign Projects																							
No.	Sector	Name of Project	Approval Date	Closing Date	ADB Financing (\$M)	Relevance		Effective		Efficiency		Sustainability		Development Impact		Overall		Borrower/EA Performance		ADB-performance		PCR Quality	
						PCR	PVR	PCR	PVR	PCR	PVR	PCR	PVR	PCR	PVR	PCR	PVR	PCR	PVR	PCR	PVR	PCR	PVR
1	ENE	Rural Renewable Energy Development Project	29/10/2010	31/12/2017	21.03	R	R	E	E	E	E	LS	LS	S	S	S	S	S	S	S	S	S	S
2	FIN	Strengthening Economic Management Program II ⁸⁴	02/06/2015	30/06/2017	36.08	HR	R	HE	E	E	E	LS	LS	HS	S	S	S	HS	HS	S	S	S	S
3	FIN	Financial Market Development Program (Subprograms 1, 2, and 3)	20/11/2019; 27/10/2020, 22/10/2021,	30/10/2019, 20/11/2020, 30/09/2021	30.00 30.00 30.00	HR	NA	E	NA	E	NA	LS	NA	S	NA	S	NA	S	NA	S	NA	NA	NA
4	HLT	COVID-19 Active Response and Expenditure Support Program (Bhutan)	04/05/2020	30/06/2021	20.00	HR	HR	HE	E	HE	HE	NR	NR	S	S	HS	HS	HS	S	HS	S	S	S
5	TRA	South Asia Subregional Economic Cooperation Information Highway Project	17/12/2007	05/10/2017	10.82	R	LR	LE	LE	IE	IE	US	US	LS	LS	US	US	S	LS	LS	LS	S	S
6	TRA	Road Network Project II	10/11/2009	30/06/2018	38.76	R	R	E	E	E	E	LS	LS	HS	S	S	S	S	S	S	S	S	S
7	TRA	Thimphu Road Improvement Project	29/09/2016	31/12/2020	4.35	R	NA	E	NA	E	NA	LS	NA	S	NA	S	NA	S	NA	S	NA	NA	NA

Completed Technical Assistance Projects

⁸⁴ The PCR was completed in July 2018 and the PVR was completed in October 2019.

No.	Sector	Name of TA project	Approval Date	Closing Date	ADB Financing (\$M)	Relevance		Effectiveness		Efficiency		Sustainability		Overall		TCR Quality
						TCR	TCRV	TCR	TCRV	TCR	TCRV	TCR	TCRV	TCR	TCRV	
1	ANR	Climate-Resilient Hazelnut Value Chain	08/04/2016	31/12/2019	1.30	R	NA	LE	NA	E	NA	LLS	NA	LS	NA	NA
2	ANR	Enhancing Competitiveness of High-Value Agriculture and Artisan Products Value Chains	09/12/2016	01/03/2021	0.47	R	R	HE	HE	E	E	LS	LS	HS	HS	S
3	ENE	Promoting Clean Energy Development in Bhutan	01/04/2017	30/11/2019	4.90	R	NA	E	NA	E	NA	MLS	NA	S	NA	NA
4	ENE	South Asia Subregional Economic Cooperation Green Power Investment Program	03/12/2015	20/11/2020	0.68	R	NA	LE	NA	LE	NA	LS	NA	LS	NA	NA
5	FIN	Diagnostic Study and Strategy Development for Rural Finance Sector Development	24/09/2019	10/12/2020	0.19	R	R	E	E	E	E	LS	LS	S	S	S
6	PSM	Decentralized Coordination and Partnerships for Gender Equality Results	08/12/2015	31/08/2019	1.59	R	NA	HE	NA	HE	NA	HS	NA	LS	NA	NA
7	PSM	Enhancing Development Management for Sustainable and Inclusive Growth	28/11/2012	21/12/2019	1.65	R	NA	E	NA	E	NA	S	NA	LS	NA	NA
8	TRA	Strengthening Air Transport Regulatory and Operational Performance	05/12/2011	29/01/2018	1.49	HR	NA	E	NA	LE	NA	S	NA	LS	NA	NA
9	TRA	Capacity Building of the Department of Roads	10/11/2009	30/12/2011	0.40	R	NA	E	NA	LE	NA	LS	NA	S	NA	NA

Completed Regional Technical Assistance Projects															
No.	Name of TA project	Approval Date	Closing Date	ADB Financing (\$M)	Relevance		Effectiveness		Efficiency		Sustainability		Overall		TCR Quality
					TCR	TCRV	TCR	TCRV	TCR	TCRV	TCR	TCRV	TCR	TCRV	
1	Strengthening Integrated Water Resources Management in Mountainous River Basins	12/04/2016	30/11/2019	1.91	R	NA	E	NA	E	NA	S	NA	LS		
2	Smart Grid Capacity Development	07/12/2011	01/06/2018	1.28	R	NA	E	NA	E	NA	S	NA	LS		
3	Trade Facilitation in South Asia	20/12/2013	31/12/2018	2.53	R	NA	E	NA	HE	NA	S	NA	MLS		
4	Strengthening Knowledge-Driven Development in South Asia	14/12/2011	31/12/2019	3.61	HR	NA	HE	NA	E	NA	HS	NA	MLS		

ADB = Asian Development Bank, ANR = agriculture and natural resources, E = efficient, effective, ENE = energy, FIN = finance, HE = highly effective/efficient, HS = highly satisfactory, IE = inefficient, LE = less than efficient/effective, LLS = less likely sustainable, LR = less than relevant, LS = less than sustainable, less than satisfactory, M = million, MLS = most likely sustainable, NA = not applicable/not available, NR = not required, R = relevant, PCR = project completion report, PSM = public sector management, PVR = project validation report, S = satisfactory, TCR = technical assistance completion report, TCRV = technical assistance completion report validation, TRA = transport, US = unlikely sustainable, WUS = water and urban services

Source: Asian Development Bank.

Strategic Pillars of CPS 2019–2023 and CPS 2014–2018

Objectives/ Pillars	CPS 2019–2023	CPS 2014–2018
Objective	Foster economic diversification and reduce spatial and social disparities	Self-Reliance and Inclusive Green Socioeconomic Development
I	Reforms: Dynamic Economic Reforms for a Resilient and Diversified Economy Support policy-based programs for a resilient and diversified economy (aligned with OP1 and OP6) Support institutional reforms to improve sector efficiency (aligned with OP3 and OP6) Promote private sector development and operations (aligned with OP1 and OP6)	Inclusive Economic Growth Macroeconomic and fiscal management, financial sector regulation and supervision, capital market development Hydropower and renewable energy development Infrastructure finance and public–private partnerships Road and air transport connectivity Skills development—tourism, hydropower, and agribusiness Urban infrastructure and services
II	Connectivity: Improved Connectivity for Better Access to Information and Markets Improve transport connectivity (aligned with OP1 and OP7) Improve regional integration and cooperation (aligned with OP1, OP3, and OP7) Connect farmers to markets and regional and global value chains (aligned with OP1, OP5, and OP7)	Environmental Sustainability Eco-friendly urban transport system Integrated water resources management Renewable energy development and energy efficiency Sustainable urban development Development of climate-resilient infrastructure
III	Inclusiveness: Greater Inclusiveness through More Equitable Socioeconomic Development Build smart, green, and liveable cities (aligned with OP1–OP4) Promote human development (aligned with OP1–OP2) Promote gender equality (aligned with OP2)	Regional Cooperation and Integration Cross-border transport infrastructure Hydropower development and energy trade Subregional road connectivity and trade facilitation Transit facilities and logistics
IV	Crosscutting Areas Private Sector Development Governance and Capacity Development Gender Equity and Mainstreaming Knowledge Solutions Partnerships	Drivers of Change Private Sector Development Governance and Capacity Development Gender Equity and Mainstreaming Knowledge Solutions Partnerships

OP = operational priority, OP1 = addressing remaining poverty and reducing inequality, OP2 = accelerating progress in gender equality, OP3 = tackling climate change and disaster resilience and enhancing environmental sustainability, OP4 = making cities more liveable, OP5 = promoting rural development and food security, OP6 = governance and institutional capacity, OP7 = fostering regional cooperation and integration

Sector Allocation Under COBPs and ICPMs, Amount (Percent)

Sector	2019–2021	2020–2022	2021–2023	2022–2024
Energy	360.4 (79.7)	245.0 (50.8)	97.0 (34.4)	113.0 (28.9)
Transport	26.3 (5.8)	52.0 (10.8)	50.0 (17.7)	58.0 (14.8)
Finance	36.9 (8.2)	50.0 (10.4)	-	70.0 (17.9)
Agriculture, Natural Resources and Rural Development	-	30.0 (6.2)	20.0 (7.1)	30.0 (7.7)
Water and Urban	-	60.0 (12.4)	50.0 (17.7)	70.0 (17.9)
Public Sector Management	-	30.0 (6.2)	-	-
Industry and Trade	12.0 (2.7)	-	15.0 (5.3)	15.0 (3.8)
Education	-	-	50.0 (17.7)	30.0 (7.7)
Health	-	-	-	-
Multisector	16.6 (3.7)	15.0 (3.1)	-	5.0 (1.3)
Annual Average	150.8	160.7	94.0	130.3

Note: discrepancies due to rounding error.

COBP = Country Operations Business Plan; ICPM = Indicative Country Pipeline and Monitoring Report.

Sector Allocation Based on Loan and Grant Approvals, Amount (Percent)¹

Sector	2019	2020	2021	2022	2023 ²
Energy	-	3.0 (2.9)	-	18.3 (22.4)	5.0 (12.2)
Transport	-	-	-	-	-
Finance	30.0 (100)	50.0 (48.3)	30.0 (35.0)	-	-
Agriculture, Natural Resources and Rural Development	-	-	-	13.0 (15.9)	-
Water and Urban	-	28.5 (27.5)	39.0 (65.0)	-	-
Public Sector Management	-	20.0 (19.3) ³	-	37.4 (45.8)	-
Industry and Trade	-	-	-	-	-
Education	-	-	-	-	36.0 (87.8)
Health	-	2.0 (1.9) ³	-	13.0 (15.9) ³	-
Multisector	-	-	-	-	-
Total	30.0	103.5	69.0	81.70	41.0

¹ Includes JFPR grants.

² Expected approvals.

³ For COVID-19 response.

Source: Asian Development Bank.

Planned Knowledge Support and Achievements for 2019–2023

Priorities Areas	Operational Plan		Knowledge Products	Status (as of June 2023)
Pillar 1—Reform: Dynamic economic reforms (aligned with OP1, OP3, and OP6)				
Policy-based support for a resilient and diversified economy	OP1 and OP6	(i)	Design and implementation of key regulatory and institutional reforms, application of good practices, sequencing of reforms, and capacity building for successful reform implementation.	Development Effectiveness Brief: Bhutan and ADB Partnership for inclusive growth (2020) Computable General Equilibrium model for Bhutan and policy brief (2022) Debt Management System training and migration (2022) Quarterly Labor Force Survey training (2023)
		(ii)	Policy advice to deepen the scope and strengthen the governance of the overall finance sector, including AML/CFT.	TADAT Assessment of Bhutan Tax Administration System (2022) Tax Expenditure Assessment (2023)
Institutional reforms to improve sector efficiency	OP3 and OP6	(i)	Diversification of energy generation, energy efficiency, and reduction in greenhouse gases through energy improvements in the energy, transport, and urban sectors.	Review and updating of Bhutan Alternative Renewable Energy Policy (2022)- Draft under review
		(ii)	Capacity assessment and enhancement of local governments to ensure successful implementation of projects and programs.	
		(iii)	Capacity building to help local governments deliver services effectively and efficiently, particularly through ADB-supported urban development projects.	
Promoting private sector development and opportunities	OP1 and OP6	(i)	Policy advice and capacity building to design and implement PPP projects, piloting selected projects, and advisory services.	
		(ii)	Knowledge building on size and capabilities of the national contracting industry and options for enhanced employment.	Promoting Entrepreneurship in Bhutan (2022)

Priorities Areas	Operational Plan		Knowledge Products	Status (as of June 2023)
Pillar 2—Connectivity: Improved connectivity (aligned with OP1, OP5, and OP7)				
Improved transport connectivity	OP1 and OP7	(i)	Promotion of good practices in procurement and financial management, and use of advanced technology and management methods for improved road and air connectivity.	
Improved access to regional integration and cooperation	OP1	(i)	Policy advice and capacity building to simplify trade documentation, increase automation, and expedite border clearance procedures to facilitate efficient movement of goods and vehicles.	Potential Exports and Nontariff Barriers to Trade: Bhutan National Study (2021)
		(ii)	Facilitation of bilateral and regional coordination mechanisms and knowledge sharing such as technology transfer and development practices toward the regional power trading market and cross-border power agreement.	
Connecting farmers to markets and regional and global value chains	OP1, OP2, OP5, and OP7	(i)	Capacity building for stakeholders and beneficiaries on packaging designs and market links.	
		(ii)	Use of technology to store knowledge and manage logistics for transporting agricultural products to the markets	
		(iii)	Irrigation systems, water, and land management.	
		(iv)	Rural roads' operation and maintenance.	
Pillar 3—Inclusiveness: More equitable socioeconomic development (aligned with OP1–OP4)				
Smart, green, and liveable cities	OP1–OP4	(i)	Integrated and sustainable urban planning, use of advanced technology for operations in delivering reliable water supply, wastewater treatment, geographic information systems, and hydraulic modelling	
		(ii)	Policy advice and investments in green public transportation, affordable housing, and municipality institutional development.	
		(iii)	Infrastructure standards to promote safety, climate resilience, and energy efficiency.	
		(iv)	Policy advice on sustainable and spatial tourism development targeted towards employment generation and improving the livelihoods of rural communities.	Overcoming COVID-19 in Bhutan: Lessons from coping with the pandemic in a tourism-dependent economy (2021).

Priorities Areas	Operational Plan		Knowledge Products	Status (as of June 2023)
		(v)	Showcasing Bhutan's experience in environment conservation and climate change, and efforts towards remaining carbon neutral, in line with the nationally determined contributions and their implementation.	
		(vi)	Working paper on Land Pooling in South Asia: Lessons Learned for Equitable, Participatory and Inclusive Urban Expansion. The paper includes case studies showcasing Bhutan's experience in land pooling and lessons learned for equitable and inclusive outcomes for sustainable urban development.	
Skills development	OP1–OP2	(i)	Evidence-based advice, through consultation with the private sector to develop employment and demand-driven TVET (youth education diagnostics and labour market studies).	Linking the Ministry of Education and Skill Development of Bhutan to massive online open courses (MOOCs) for expanded use of online learning through networks built during ADB events (2020) Assessment of Secondary School Learning Losses During COVID-19 Closures (draft, 2023)
Health sector Development	OP1–OP2		Capacity building for the financial management of Bhutan Health Trust Fund and application of project management for efficient implementation of ongoing health sector development programs.	
Promoting gender equality	OP2	(i)	Policy advice on transformative gender agenda, including combating gender-based violence, addressing unpaid care and domestic work, and promoting access to economic resources and opportunities.	Valuing Unpaid Care Work in Bhutan (2020) The Economic Cost of Gender-Based Violence in Bhutan (draft, 2023)
		(ii)	Integration of gender perspectives in knowledge solutions and capacity development in ADB operations.	

ADB = Asian Development Bank, AML/CFT = anti-money-laundering and combating the financing of terrorism, OP = operational priority, OP1 = addressing remaining poverty and reducing inequality, OP2 = accelerating progress in gender equality, OP3 = tackling climate change and disaster resilience and enhancing environmental sustainability, OP4 = making cities more liveable, OP5 = promoting rural development and food security, OP6 = governance and institutional capacity, OP7 = fostering regional cooperation and integration, PPP = public–private partnership, TVET technical and vocational education training.

Source: Asian Development Bank.

List of Knowledge Events Organized (January 2019 – March 2023)

Name of Event	Location	Date	No. of Participants	Organizer(s)
Gender mainstreaming and project administration	Thimphu	20 Sep 2019	44	BHRM
Resettlement Plan Implementation & Advanced Environmental Safeguards	Thimphu	28-31 Oct 2019	33	BHRM
Workshop on Demographic Dividend: Taking Advantage of Demographic Transition in Bhutan	Thimphu	2019	19	BHRM
Financial Management training (virtual)	Thimphu	28 October - 5 November 2020	26	BHRM and SAOD
Macro modelling first training	Thimphu	17-19 March 2021	25	BHRM and MOF
ADB Procurement process (Virtual)	Thimphu	1-5 February 2021	52	BHRM
Training on Procurement and Contract Management of Plant (virtual)	Thimphu	22-26 March 2021	6	BHRM
Safeguards requirement	Thimphu	26 March 2021	20	BHRM
Financial Management training (virtual)	Thimphu	7-14 September 2021	25	BHRM and SAOD
Procurement training for Department of Renewable Energy	Thimphu	8-12 November 2021	10	BHRM
Virtual Training Workshop on Tax Administration Diagnostic Assessment Tool	Thimphu	5-13 July 2022	18	SG and BHRM
Seminar on Regional and International Standardization and Certification Processes	Paro	13-14 July 2022	15	BHRM and MOICE Affairs
Training on Pricing Strategy and Cost Analysis	Paro	15-16 July 2022	15	BHRM and MOICE
Environmental Safeguards training	Thimphu	15-16 August 2022	25	BHRM
Training on ADB Procurement process	Thimphu	27-29 September 2022	25	BHRM
Digital Tax Administration Transformation Workshop	Thimphu	12-14 October 2022		BHRM and SG
Financial Management (for new accounts/project management staff)	Thimphu	18-19 October 2022	25	BHRM and SAOD
Commonwealth Meridian System Advance Training (Final Phase)	Thimphu	5-16 December 2022	20	BHRM and MOF
1st Regional Workshop on ISSAI Implementation Needs Assessment for Performance Audit	Manila	6-10 March 2023	3	PFFM

BHRM=Bhutan Resident Mission, SAOD=South Asia Office of the Director General, SG=sector groups, MOF= Ministry of Finance, MOICE=Ministry of Industry, Commerce and Employment.

Source: Asian Development Bank.

**Country Partnership Strategy Results Framework
Progress Against the Targets (2019–2023)**

Country development Indicator	Target	Status (as of Dec 2022)
1. Annual average real GDP growth rate (2019-2023)	1. 5.0-6.0%	1.9% (ADB estimate)
2. Multidimensional poverty index	2. <5% by 2023 (baseline: 5.8% (2017))	2.1% (Bhutan Living Standards Survey - BLSS 2022)
3. Gini coefficient	3. <0.38 by 2023 (baseline: 0.38 (2017))	0.29 ^e (BLSS 2022)
CPS Strategic Objective: Dynamic economic reforms for a resilient and diversified economy (Pillar 1)		
Outcome Indicator	Target	Status (Dec 2022)
1. Growth rate of non-hydropower industries' revenue	15% by 2023 (baseline: 12% average during 2013-2018) ^a	Update not available: This indicator was based on a one-time calculation for the 12 th Five Year Plan documents in 2018 and has not been updated since.
2. Credit to micro and CSI enterprises as a percentage of total credit	20.0% by 2023 (baseline: 15.8% (2018))	12.4% (June 2022) ⁱ
3. Energy auditing and reporting guidelines	Adopted and implemented (baseline: 0 (2018)) ^a	Energy audit guidelines for buildings and industries adopted and implemented as of 2022, and available on Ministry of Energy and Natural Resources website .
4. Criteria for maintaining a list of quality vendors, contractors, and consultants	Developed for screening by 2023 (2018 baseline: 0)	List of quality vendors, contractors, and consultants developed as of 2022 and linked to Electronic Government Procurement System.
5. Successful commercial closing of new PPP infrastructure contracts	At least 2 new PPP infrastructure contracts during 2019-2023 (Baseline: 3 projects)	0
CPS Strategic Objective: Improved connectivity for better access to information and markets (Pillar 2)		
1. Percentage increase in public transport ridership during the Twelfth Five-Year Plan period	10.0% by 2023 (Eleventh Five-Year Plan baseline: 1.07% by 2017) ^a	7.8% ^l
2. Power exports increased	3,000 MW by 2023 (2018 baseline: 1,614 MW, 4,535 MU)	2,335 MW by 2022; 7,270.36 million units in 2022 ^h
3. World Economic Forum's Enabling Trade Index	Above 4 during 2019–2023 (2018 baseline: 4)	Update not available: WEF's last published Enabling Trade Report is for 2016.

4. Inclusive Digital Index	6.5/10 by 2023 (2017 baseline: 3.8/10) ^{a, c}	Update not available: The Inclusive Digital Index indicator was based on a one-time calculation for the 12 th Five Year Plan documents in 2018 and has not been updated since.
5. Food insufficiency	Reduced to 2.4% by 2023 (2017 baseline: 6.2%) ^{a, d}	1.5% ^m
CPS Strategic Objective: Greater inclusiveness through more equitable socioeconomic development (Pillar 3)		
1. Households with metered connections to the water distribution system	Increased to 70% by 2023 (2018 baseline: 55%) ^b	While more recent data on metered connections are not available, other water indicators can be compared for 2017 vs. 2020. ^k The percentage of population using at least basic drinking water services held steady at 97%, while the percentage using safely managed drinking water services improved only slightly from 36% to 37%. Given these small changes, it is very unlikely that metered connectivity has improved by 15 percentage points since 2018.
2. TVET graduates employed within 6–12 months of graduation	Reach 85% by 2023 (2017 baseline: 80%) ^a	78% ⁿ
3. National immunization coverage of children	Sustained at 95% during 2019–2023 (2018 baseline: 95%) ^b	Crude Childhood immunization coverage was 94.1% in 2021 (down from 94.4% in 2017) ^o
4. New measures introduced to overcome gender discrimination and address issues related to transformative gender agenda:	At least two by 2023 (2018 baseline: 0)	1. Revised National Gender Equality Policy 2020 to include LGBTQI and persons with disabilities in 2022^f 2. Gender Assessment in Hydropower, Road and Bridge Construction Sites in Bhutan conducted in 2022^g

ADB = Asian Development Bank, ADF = Asian Development Fund, COBP = country operations business plan, COL concessional OCR lending, CPS = country partnership strategy, CSI = cottage and small industry, DRR = disaster risk reduction, GDP = gross domestic product, MW = megawatt, OP = operational priority (under ADB's Strategy 2030), OP1 = addressing remaining poverty and reducing inequality, OP2 = accelerating progress in gender equality, OP3 = tackling climate change and disaster resilience and enhancing environmental sustainability, OP4 = making cities more livable, OP5 = promoting rural development and food security, OP6 = governance and institutional capacity, OP7 = fostering regional cooperation and integration, PPP = public–private partnership, TVET = technical and vocational education training.

- ^a National or agency key result area indicators under the Government of Bhutan, Gross National Happiness Commission. 2018. [Twelfth Five Year Plan \(2018–2023\)](#). Thimphu.
- ^b Indicators from sectors or projects (including technical assistance).
- ^c The indicator measures following aspects of ICT: (i) mobile cellular telephone subscriptions per 100 inhabitants, (ii) international internet bandwidth per Internet user (Bit/u), (iii) percentage of households with computers, (iv) percentage of households with Internet access, (v) percentage of individuals using the Internet, (vi) fixed (wired) broadband subscriptions per 100 inhabitants, and (vii) active mobile broadband subscriptions per 100 inhabitants.
- ^d The indicator measures the percentage of households that experienced food insufficiency in the country in the last 12 months (i.e., that did not have enough food to feed all household members).
- ^e National Statistics Bureau of Bhutan. 2022. *Bhutan Poverty Analysis Report*, Thimphu. [PAR-2022-for-WEB.pdf \(nsb.gov.bt\)](#)
- ^f National Commission of Women and Children. 2020. *Gender Equality Policy*, Thimphu. [National Gender Equality Policy1604395993.pdf \(ncwc.gov.bt\)](#)
- ^g National Commission for Women and Children, *Gender Assessment in Hydropower, Road and Bridge Construction Sites in Bhutan: Key Indicators, Findings and Recommendations*. [Policy Brief1670299783.pdf \(ncwc.gov.bt\)](#)
- ^h Department of Revenue and Customs. *Bhutan Trade Statistics 2021*. Ministry of Finance, Thimphu. <https://www.mof.gov.bt/wp-content/uploads/2022/04/BhutanTradeStatistics2021.pdf>
- ⁱ Royal Monetary Authority of Bhutan. 2022. *Highlights on the Financial Sector Performance June 2022*, Thimphu. <http://www.rma.org.bt/RMA%20Publication/FSP/Financial%20Sector%20Performance%20Review%20June%202022.pdf>
- ^k [World Bank data](#) accessed 14/08/2023.
- ^l National Statistics Bureau, 2022. *Towards Evidence-Based Decision Making: Infrastructure and Transport*. Thimphu. <https://www.nsb.gov.bt/bhutan-interactive-data-portal/infrastructure-and-transport/>
- ^m National Statistics Bureau. 2022. *Bhutan Living Standard Report 2022*, Thimphu. [BLSS-2022-for-WEB.pdf](#)
- ⁿ TVET Convocation 2023 Multi-Cohort Tracer Study. <http://www.education.gov.bt/dwpsd/wp-content/uploads/2023/05/TVET-Convocation-2023-Multi-Cohort-Survey-Report.pdf>
- ^o Ministry of Health. 2022. *Annual Health Bulletin 2022*, Thimphu. https://www.moh.gov.bt/wp-content/uploads/ict-files/2022/07/Annual-Health-Bulleti-2022_Link-3.pdf

Sources: Asian Development Bank; and Government of Bhutan, Gross National Happiness Commission. 2018. [Twelfth Five Year Plan \(2018–2023\)](#). Thimphu.